

WEEK'S TAKEAWAY:		
- The tape narrowed into mega-cap AI. NDX +1.69% and SPX +1.23% green, while DIA (–0.50%) and the Russell (–0.61%) closed red — after the Dow printed a NEW intraday ATH (53,289.30, Tue 7 Jul) and gave it straight back. The exact inverse of W28's Dow-led broad repair. - Both macro anchors re-armed. The Iran ceasefire COLLAPSED (Hormuz disrupted; Brent +6.29% W to \$76.01), and the hawkish FOMC minutes (Wed 8 Jul — 9 of 18 dots project at least one HIKE by end-2026) broke the 10Y through the 4.50% ceiling to 4.561% and the 30Y through 5% to 5.059%. Confirmation withdrew everywhere. 5-day breadth swung +863 → –79; the weekly Stoch RSI rolled K-D on all four indices (the W28 DIA holdout resolved); NDX's weekly MACD histogram crossed NEGATIVE on its best week of the quarter; and volume ran heavier on down days than up days. Meanwhile F&G recovered to 49 (Neutral) and VIX fell to 15.03 — the crowd stopped being afraid exactly as the reasons to be afraid multiplied.		

DAY	KEY EVENT	MARKET REACTION
Mon 6 Jul	Post-holiday re-open on revived AI optimism — the week's high-water mark for the bulls. First session after the 3-day Independence Day weekend (normal open). ISM Services (Jun) landed as the growth-pulse read following ISM Manufacturing at 53.3. - The Dow surpassed 53,000 for the first time in history and set a record close of 53,055.91 (+155.84).	- Broad, tech-led risk-on with every index green. SPX +0.72% (7,537.43); NASDAQ Comp +1.12% (26,121.16), DJIA +0.23% — RECORD CLOSE; Russell 2000 +0.45% (3,009.54). VIX fell to 15.57 (–5.06%). Note what this day was NOT: it was the only session of the week with genuinely broad participation — and it was also the highest-volume up-day of the week (SPX 4.97B). - Everything after this narrowed.
Tue 7 Jul	- The rotation OUT of AI, and the ATH that lasted two hours. The Dow printed a NEW INTRADAY ALL-TIME HIGH of 53,289.30 — and reversed within the session as investors rotated out of names tied to artificial intelligence and oil prices advanced on renewed US–Iran tension. - Trade balance (May) + NFIB (Jun) + consumer credit. CENTCOM strikes on Iran began this day, in response to Iranian attacks on three commercial vessels in the Strait of Hormuz.	- The record was rejected inside a single session — and the tape went red across the board. SPX –0.45% (7,503.85); NASDAQ Comp –1.16% (25,818.69 — the AI de-rate); DJIA –0.25% (52,925.15), giving back the ATH; Russell –0.90% (2,982.49). - VIX +1.64% to 16.13. This was the week's second-highest-volume day (SPX 5.05B) — a down day, and the start of the distribution pattern quantified in Sec 4.5 #5.
Wed 8 Jul	- The DAY THE WEEK TURNED — TWO SHOCKS AT ONCE. (1) Trump told the NATO summit in Turkey that the Iran ceasefire is "OVER" and threatened further strikes; CENTCOM had begun strikes Tuesday in response to Iranian attacks on three commercial vessels transiting the Strait of Hormuz. (2) FOMC MINUTES (16–17 Jun) = HAWKISH: 9 of 18 participants project at least one HIKE by end-2026 (8 no change, 1 cut); easing-bias language removed.	Both anchors broke in one session. DJIA –1.09% (–576.76 to 52,348.39), SPX –0.28%; Russell –0.87%; NASDAQ Comp +0.20% (the lone hold-out — semis absorbed it). Brent settled +5.43% at \$78.19 (WTI +4.37% to \$73.52) — the week's peak. VIX spiked intraday to 18.91, closed 16.90. The 10Y went through 4.50%.
Thu 9 Jul	- The hawkish shock was bought within 24 hours — semiconductors led and oil FELL, even as the strikes continued. PepsiCo (PEP) Q2 BMO opened earnings season (consensus –\$2.19–2.21). - Initial jobless claims framed the labour trend after June's cool +57K payroll.	- A powerful, semi-led recovery that erased Wednesday. NASDAQ Comp +1.30% (26,206.89); SPX +0.81% (7,543.64); Russell +1.22%; DJIA +0.27%. VIX back to 15.84. The tell most will miss: this rally happened on lower volume than either down-day (SPX 4.44B vs 5.05B/5.10B) — buyers present but unenthusiastic. - And oil fell while CENTCOM was still striking Iran, which is the first evidence that the \$78.19 peak was a risk premium, not a supply repricing.
Fri 10 Jul	A quiet, low-conviction green close into the earnings gauntlet. Delta Air Lines (DAL) Q2 BMO (the airline/travel-demand read; Street –\$1.43–1.48), SK Hynix surged on its market debut. No Tier-1 US data.	- Indices closed higher — but look at what did not: SPX +0.42% (7,575.39, +31.75); NDX +0.33% (29,825.11, +98.01); DJIA +0.28%; yet the Russell closed –0.49% — small-caps RED on an up day, and 53% of all NASDAQ issues declined while the Composite rose (Sec 4.2). - VIX 15.03 (–5.11%). Friday printed the LOWEST volume of the week (SPX 4.01B) on an up day — the week ended exactly as it was lived: the index up, the market not.

1.1 Key Macro Themes & High-Impact Developments

THEME	STATUS	DETAILS	MARKET IMPACT
IRAN CEASEFIRE COLLAPSED	RE-ARMED	- The 17-Jun framework is over. Sequence: Iran attacked three commercial vessels transiting the Strait of Hormuz → CENTCOM struck –90 Iranian military targets (air defence, coastal surveillance, missile/drone storage, naval assets) → Trump told the NATO summit the ceasefire is "over" (Wed 8). Hormuz shipping (–20% of world oil & gas trade) is significantly disrupted; ~6,000 seafarers trapped in the area. Crucially: oil production and export infrastructure remain largely unaffected — and Trump said the following day the exchange of fire "would not lead to long-term military action."	EXTREME Brent +6.29% W to \$76.01 — but the SHAPE of the move is the analysis: it settled at \$78.19 (+5.42%) on Wed 6, then gave back –\$2 while the strikes were still ongoing, and equities rose Thursday and Friday through them. This is a risk premium on a chokepoint, not a supply shock on a barrel — it can deflate as fast as it armed, and it is already deflating. The escalation line that matters is therefore NOT more strikes — it is a hit on energy infrastructure or an actual Hormuz closure, which converts a premium into a shock and engages the Tail (Brent > \$100). - Reverses W28's "Tier 1 SATISFIED — HOLDING" (Sec 08, Timed Iran Playbook). The XLE underweight's rationale died with it — the position is now held on REPLACED grounds (Energy 50D 53% / 100D 29%), not carried by inertia. Brent remains –19.99% on the month: the tail is re-armed, the barrel is not repriced.
HAWKISH FOMC MINUTES (Wed 8 Jul)	HAWKISH	- The 16–17-Jun minutes: 9 of 18 participants project at least one HIKE by end-2026, 8 project no change, 1 cut — a committee split 9–8–1 with the plurality leaning to TIGHTEN. Easing-bias language was removed entirely; data-dependence and price stability were emphasised over forward guidance, so there is no cushion to absorb a surprise print. - Futures now price the funds rate drifting toward 4% by year-end. And this lands on a NEW Fed Chair — Kevin Warsh, sworn in 22 May — who testifies to Congress for the FIRST time on Tuesday, with no track record to calibrate his language against.	HIGH The 4.50% ceiling W28 explicitly flagged BROKE, and the 30Y went through 5%, 10Y 4.561% (+7.6bp W); 30Y 5.059% and 20Y 5.070% — W28's note that "the 30Y held below 5%" no longer holds. This was a PARALLEL SHIFT, not a steepener: every tenor 2Y–30Y rose within a 7.0–8.4bp band together, so 2s10s is unchanged at +34.9bp. The entire cost of money reset higher, which is a broader and cleaner multiple headwind than a steepener — nothing about the curve's shape offers an offset. - The front-end hike tilt re-armed from +0.6bp to +10.4bp (1Y–6M), a 17x move. CME FedWatch ~70% hold at 29 Jul, from ~81% — and the distribution widened toward a HIKE, not a cut.
LEADERSHIP FLIPPED TO MEGA-CAP AI	ROTATION	- NDX +1.69% and SPX +1.23% closed green; DIA –0.50% and Russell 2000 –0.61% closed red — the exact inverse of W28, when the Dow and the broad tape led and the NDX lagged on the chip de-rate. NDX also repaired its daily structure: reclaimed the daily SMA40 (29,667.04), closed above all three daily SMAs, and crossed its daily MACD histogram positive (+1.65 from –42.41). - The engine is a single sector — Electronic Technology (+1.82% 1W, +5.38% 1M, +33.22% 3M, +59.05% YTD), the only sector on the board strong at every horizon, with XLK breadth re-accelerating (5D 64% > 20D 55% > 50D 51%). Note the split within tech: Technology Services managed only +0.60%. The bid is going to hardware and semis, not software.	MIXED The index prints are being carried by the narrowest part of the tape. The W28 laggard became the W29 leader inside one week — leadership that changes hands this fast is <i>positioning</i>, not trend. It also creates a single point of failure: with breadth at ~79 and the Dow's participation halved, there is no second leadership group to catch the index if the AI complex de-rates (and SOX fell –6.7% in one session as recently as 1 Jul). - Concentration is simultaneously what is holding the tape up and what makes it fragile (Sec 9.4).
BREADTH REVERSED HARD	DETERIORATED	5-day new high/lows board-wide swung from +863 (W28) to –79 (a –942 reversal, with new highs collapsing 1,929 → 953. NASDAQ (–135) and Arca (–24) both flipped net-negative; NYSE is the lone survivor (+80, down from +347). The Dow's 5D above-MA participation fell 83% → 50%; the NASDAQ Composite's is 49% — below half, while the Composite itself rose +1.74%. - Advancing 48.5% vs declining 47.1% (A/D 1.03); Above-SMA50 53.6%, Above-SMA200 51.7%.	HIGH Participation withdrew in the same week the index advanced — the cleanest contradiction on the board between price and the tape beneath it. W28's advance was breadth-CONFIRMED (+863); W29's is breadth-CONTRADICTED. That is a different animal, and it is the reason the bias is calibrated down. - The deep base (63–70% above the 100–200D MAs) is what keeps this "narrowing" rather than "breaking" — the line to watch is Above-SMA50 losing 50% (Sec 04, Sec 4.5).
COMPLACENCY ROSE INTO RE-ARMED RISK	NEUTRAL	- CNN Fear & Greed 32 → 49 (Fear → Neutral) — a 17-point one-week recovery, the largest since the June lows. VIX fell to 15.03 (–6.93% W), below its SMA10 (16.47) / SMA20 (17.18) / SMA40 (17.35); the Wednesday spike to 18.91 on the minutes + ceasefire collapse was <i>fully</i> retraced by Friday. - But the composite is being carried by momentum and options positioning — both breadth components (Stock Price Strength, Stock Price Breadth) still read FEAR, and those are the two that measure how many names actually participate.	WATCH Sentiment normalised in the very week both macro anchors turned against the tape. Fear at 32 with a Dow record (W28) was a bullish set-up; Neutral at 49 with a broken 4.50% ceiling and a live Hormuz risk is not. The crowd stopped paying for protection exactly as the reasons to hold it multiplied. - That gap — a de-hedged, un-fearful market facing a re-armed energy and rate path — is the week's mispricing and the basis of the Sec 9.5 vol trade.
CREDIT REFUSED TO CONFIRM — IN BOTH DIRECTIONS	STABLE	HY OAS –270bp (7–8 Jul, historically tight — no stress). HYG closed flat on the week at \$79.71 (0.00% W; 52-wk low 78.57); JHK –0.07% and LQD –0.23% on Friday. It held that flat line through BOTH a ceasefire collapse AND a hawkish Fed. - Yet the F&G Junk Bond Demand component still reads Fear — its fourth consecutive regime of refusing to confirm (recovery, pullback, repair, and now this narrowing).	WATCH [CORRECTIVE LOOP] W28 called this "the cleanest standing divergence on the board." That framing is retired. With the actual spread now measurable at –270bp, the correct read inverts: a <i>sentiment gauge says caution while the credit market itself says nothing is happening — and we weight the spread</i>. - This makes credit the strongest single argument against the bearish read. It is also no longer unfalsifiable: five money-centre banks report Tue 14 and BlackRock Wed 15 — loan-loss provisions adjudicate it with hard data this week (Sec 4.5 #5, Sec 9.4).

MARKET STRUCTURE READ — A Narrowing, AI-Led Advance Against Two Re-Armed Macro Anchors: the Iran Ceasefire COLLAPSED (Brent +6.29% W) and the Hawkish FOMC Minutes Broke the 10Y Through 4.50% (4.561%) and the 30Y Through 5% (5.059%) — While Breadth Swung +863 to –79 and the Weekly Stoch Rolled on ALL FOUR indices. June CPI + Warsh's First Testimony + the Money-Centre Banks ALL Land Tuesday 14 Jul.	
Bullish (structural + tactical) Developments: - The NDX daily REPAIRED — the W28 hold-out resolved to the upside, and it was the week's most bullish technical event. NDX (+1.69%, the best of the four) reclaimed its daily SMA40 (29,667.04), closed above all three daily SMAs, and crossed its daily MACD histogram positive (+1.65 from –42.41 — a 44-point swing). The chip de-rate that dragged W28 (SOX –6.7% on 1 Jul) did not extend; it reversed, and Electronic Technology is now the only sector on the board strong at every horizon (+1.82% 1W, +5.38% 1M, +33.22% 3M, +59.05% YTD, Sec 7.2). W28's stated bull-path condition — "the NDX reclaims its daily SMA40 (29,595)" — was MET. No weekly break anywhere: all four structures held. Every index retains a full rising weekly SMA cascade (10 > 20 > 40) with price above its weekly SMA10; all four TGPS PW Modes read Bullish with PW COM above zero (SPY –23, NDX –40, IWM –38, DIA –22 — each read independently), and DIA's PW rightmost bar carries a dark-green TIF. The structural bull case has not broken — only its momentum confirmation (see Caution). The deep breadth base corroborates: every index still holds 63–70% above its 100–200D MAs, and Above-SMA50 (53.6%) / Above-SMA200 (51.7%) both remain above half. CREDIT DID NOT CRACK — the single strongest argument against the bearish read. HY OAS –270bp (7–8 Jul, historically tight) and HYG closed <i>flat</i> on the week (\$79.71, 0.00%) through BOTH a ceasefire collapse AND a hawkish Fed. The cross-asset channel that would convert an equity narrowing into a genuine risk-off event stayed shut. [CORRECTIVE LOOP] This supersedes W28's framing of Junk Bond Demand ("Extreme Fear") as "the cleanest standing divergence on the board": the sentiment gauge says caution, the actual spread says nothing is happening — and we now weight the spread (Sec 4.5 #5, Sec 9.4). - The hawkish shock was BOUGHT within 24 hours. The Dow fell –576.76 (–1.09%) and VIX spiked to 18.91 intraday on Wednesday's minutes + ceasefire-collapse double hit — and by Friday the entire VIX move was retraced (15.03) and SPX/NDX had made the week green. Oil peaked at \$78.19 Wednesday and gave back –\$2 while the strikes continued. A tape that absorbs a rate shock and a war restart inside three sessions is demonstrating real underlying demand, not just complacency. Caution / Watch: BREADTH REVERSED HARD — the headline caution of the week. 5-day new-high/low breadth swung from +863 to –79 (a –942 swing); NASDAQ (–135) and Arca (–24) both flipped negative and only NYSE (+80) survives, down from +347. New highs collapsed 1,929 → 953. The Dow's 5D above-MA participation fell 83% → 50%; the NASDAQ Composite rose +1.74% with <i>fewer than half</i> its members above their 5-day MA (49%). On Friday itself, 53% of NASDAQ issues fell while the Composite rose. The index went up; the market did not (Sec 04, Sec 4.5). Weekly momentum stopped confirming on EVERY index — the four-of-four rollover W28 named as the highest-severity signal has now occurred. The weekly Stoch RSI has rolled K-D on all four for the first time: SPX 65/71, NDX 55/66, IWM 84/90 (off extreme OB), DIA 97/99 (off its 100/100 pin — W28's lone hold-out). And NDX's weekly MACD histogram crossed NEGATIVE (–15.89 from +21.54) on a +1.69% UP week — a textbook negative divergence on the major-trend timeframe, on the index that led. Per Murphy's weekly/daily synchronisation rule, a bearish weekly oscillator on all four argues against acting on daily buy signals <i>anywhere</i> in the set — including the NDX daily repair above. Escalation test: a SECOND weekly histogram going negative (SPX +5.18 / DIA +2.68 / IWM +0.83 are all contracting or thin). RATES — the 4.50% ceiling W28 flagged BROKE, and the 30Y went through 5%. The hawkish FOMC minutes (Wed 8 Jul: 9 of 18 participants project at least one HIKE by end-2026, 8 no change, 1 cut; easing-bias language removed) took the 10Y to 4.561% (+7.6bp), the 30Y to 5.059% and the 20Y to 5.070%. This was a <i>parallel shift</i>, not a steepener — every tenor 2Y–30Y rose 7.0–8.4bp together, so 2s10s is unchanged at +34.9bp. The front-end hike tilt re-armed from +0.6bp to +10.4bp (1Y–6M). CME FedWatch ~70% hold at 29 Jul, from ~81% — and the widening is toward a HIKE. Real Estate already carries the board's worst 5D breadth (26%). TUESDAY 14 JUL IS A THREE-WAY COLLISION — and the CPI print is a trap. June CPI (8:30), Fed Chair Kevin Warsh's <i>first</i> congressional testimony since being sworn in 22 May (10:00, House Financial Services), and JPMorgan / Cit / Goldman / Wells / BofA all reporting BMO — three uncorrelated market-moving inputs inside four hours, into a tape with VIX at 15.03 and \$SPX IV Rank at the 23rd percentile. And consensus (Barclays –3.8% y/y from 4.2%) rests on a –10% June gasoline decline caused by the peace deal that has since collapsed — while Barclays' core forecast actually ACCELERATES ~5bp to +0.28% m/m. June CPI will print the disinflation of a world that no longer exists. Directional Bias: CAUTIOUS-CONSTRUCTIVE (calibrated DOWN from W28's Constructive). Qualitative, not probabilistic. The downgrade rests on a divergence, not a breakdown: structure still supports the bulls (four weekly cascades intact, four TGPS Modes Bullish with COM above zero, credit quiet at –270bp), while momentum, breadth, rates and the energy tail <i>all</i> stopped supporting them in the same week. Two independent measurement systems — surface breadth and weekly momentum — reached the same conclusion in the week the index rose. That coincidence is the downgrade. Per index: SPX constructive (cleanest continuation, but ADX 15.81 and Stoch 91); NDX constructive-but-unconfirmed (daily repaired beneath a negative weekly histogram); IWM cautious (lost the daily SMA10 AND SMA20; ADX 9.96 — the most fragile on the board); DIA neutral (best structure, spent momentum, ATH rejected). This is not a reversal call — it is the withdrawal of confirmation, which is what precedes one. What This Means: The W28 bull path delivered exactly what it asked for — the NDX repaired its daily — and the tape got <i>narrower</i> anyway. That is the whole message. The index sits near its highs on the thinnest participation of the quarter, with a re-armed oil tail, a Fed whose own dots now lean to a hike, a 30Y above 5%, and the crowd having quietly stopped being afraid (F&G 32 → 49, VIX 15.03). Hold core while the weekly SMA10s hold; add nothing before Tuesday's close; own convexity rather than direction — and buy it where the market forgot to reprice it (\$SPX 23rd pct, \$DJX 0.00%), NOT in \$VIX, which has already repriced to the 96th percentile. Do not chase the mega-cap AI bid into a four-of-four weekly rollover; treat the Dow and small-cap weakness as information about the tape, not noise; and read Tuesday's bank provisions as the credit adjudication, not the earnings event.	

US Equity Index Performance

S&P 500 (SPX) 7,575.39 FRIDAY CHANGE 1-WEEK YTD 2026 FROM ATH ATH +0.42% (+31.75) +1.23% (2nd green wk) +10.69% –0.60% 7,620.90 (intraday, 01–05 Jun) 10 Jul 2026 close, 1W base = Thu 7,485.24 (3 Jul holiday), YTD base 6,845.50 (31 Dec 2025, web-verified).	NASDAQ 100 (NDX) 29,825.11 FRIDAY CHANGE 1-WEEK YTD 2026 FROM ATH ATH +0.33% (+98.01) +1.69% (LED) +18.12% –3.05% 30,762.20 (intraday, 01–05 Jun) 10 Jul close per Barclays' \$UXX + TGPS chart header ("NDX history is gated on the data plan"), 1W base 28,529.21, YTD base 25,249.85 (31 Dec 2025).	RUSSELL 2000 (IWM) \$295.99 FRIDAY CHANGE 1-WEEK YTD 2026 FROM 52W HIGH 52W HIGH STATUS STOCH RSI –0.42% (–1.25) –0.53% (2nd red wk) +20.24% –2.22% \$302.72 (set W28) Shares IWM (ETF) 10 Jul close, YTD base \$245.16 (31 Dec 2025) — now verified, closing the W28 open gap. RUT index: 3,977.81, –0.61% W, YTD +19.98%.
DOW JONES (DJIA) 52,637.01 FRIDAY 1-WEEK YTD 2026 FROM ATH ATH +0.28% (+149.60) –0.50% (ATH rejected) +9.52% –1.22% NEW: 53,289.30 intraday (7 Jul); record close 53,055.91 (6 Jul) New ATH web-verified; supersedes 52,903.85, YTD base 48,063.29.	NASDAQ COMPOSITE 26,281.61 FRIDAY 1-WEEK YTD 2026 FROM ATH ATH +0.29% (+74.72) +1.74% +13.08% –2.98% 26,972.62 (record close, 29 May) YTD base 23,241.99 (31 Dec 2025).	VIX (VOLATILITY) 15.03 FRI CHD 1-WEEK WEEK HIGH STATUS STOCH RSI –5.11% (–0.81) –6.93% (16.15 → 15.03) 18.91 (Wed 8, on the minutes) COMPLACENT K 22 / D 24 (K-D) Below SMA10 (16.47) / SMA20 (17.18) / SMA40 (17.35) — full vol downtrend.

Index Performance Summary — The Leadership Baton Flipped Back to Mega-Cap AI in a Single Week; the Dow's New Record Was Rejected Inside Two Sessions; and Vol FELL as Both Macro Anchors Re-Armed	
- The rotation reversed in one week — which is information, not noise: W28's leaders (DJIA, IWM) are W29's losers, and W28's laggard (NDX) is W29's leader. Leadership that changes hands this fast is not trend, it is positioning. The Dow's new intraday ATH (53,289.30, Tue 7) survived less than two sessions before the hawkish minutes took it back — and small-caps have now closed red for a second consecutive week despite carrying the best YTD number on the board (+20.24%). - The gap-to-ATH ledger closed on the narrowest part of the tape: SPX pulled to –0.60% from its record (from –1.81% in W28) and NDX to –3.05% (from –4.66%) — the mega-cap complex is effectively back at the highs. Meanwhile the Dow, which sat at –0.01% a week ago, printed a fresh record and immediately re-opened a –1.22% gap. The advance to the highs is being made by fewer names, not more (Sec 04: 5-day H/L +863 → –79). Volatility fell in the week the risks came back: VIX –6.93% to 15.03, below its SMA10/20/40 — and the Wed–8 spike to 18.91 on the hawkish minutes was <i>entirely</i> retraced by Friday, in the same week the Iran ceasefire collapsed and the 10Y broke 4.50%. The tape is not so much resilient as un-hedged. That is the asymmetry Sec 9.5 trades.	

3.1 CNN Fear & Greed Index			47 NEUTRAL
49 NEUTRAL	Previous Close		
	1 Week Ago		32 FEAR
	1 Month Ago		26 FEAR
	1 Year Ago		76 EXTREME GREED
+17 in one week (32 → 49) — Fear to Neutral, the largest single-week recovery since the June lows. Gauge last updated 10 Jul 19:59 ET (reflects the Fri 10 Jul close).			
3.2 Fear & Greed Component Breakdown			
INDICATOR	STATUS	INTERPRETATION	
Fear & Greed Index	NEUTRAL (49)	• Recovered 17 points from 32 (Fear) in a single week — the largest one-week swing since the June lows (1 month ago: 26 / Fear; 1 year ago: 76 / Extreme Greed). The crowd stopped being afraid in the very week the Iran ceasefire collapsed, oil rose 6.29%, and the Fed's own minutes showed 9 of 18 members wanting a HIKE. • The regime change is the problem, not the level: Fear at 32 alongside a Dow record (W28) was a bullish set-up — disbelief with price rising. Neutral at 49 alongside a broken 4.50% ceiling and a live Hormuz risk is the opposite: the crowd stopped paying for protection exactly as the reasons to hold it multiplied.	
Market Momentum	GREED	• SPX above its 125-day average and extending — and this is the leg doing the heavy lifting in the composite. It is a <i>price</i> measure, so it registers the +1.23% week and is blind to who made it. • Read alongside Stock Price Breadth (Fear) below: the composite is being carried by the two components that measure price and positioning, and dragged by the two that measure participation.	
Stock Price Strength	FEAR	• Still FEAR with the S&P only 0.60% from its all-time high — the cleanest sentiment contradiction on the board. This component tracks 52-week highs vs lows on the NYSE, and it is refusing to confirm the index. Corroborated exactly by the hard data: 5-day new lows (1,032) now EXCEED new highs (953) board-wide, and the H/L line swung +863 → −79 (Sec 4.3). • Two independent instruments, one message — the highs are being made by too few names.	
Stock Price Breadth	FEAR	• The SECOND breadth component in Fear — and the two of them are the only ones that measure how many stocks are actually participating. This is McClellan volume breadth (advancing vs declining volume), which is a <i>different</i> input from Stock Price Strength's high/low line — so this is not one signal counted twice. • It corroborates the volume finding in Sec 4.5 #5: volume is running heavier on down days than up days (SPX 1.13%). Both breadth components in Fear while both price/positioning components read Greed is the textbook narrowing-advance signature.	
Put and Call Options	GREED	• Call demand firm. \$SPX P/C 1.12; \$DJX 0.10 (90.9% calls on a thin 1,222-contract tape); \$VIX 0.44 (69.5% calls). Options positioning is leaning LONG into a Tuesday carrying three uncorrelated market-moving events. Note the tension with Sec 3.3: the same tape that is buying calls has bid \$VIX IV Rank from the 10th to the 96th percentile — someone is paying up hard for vol-of-vol while the crowd sells protection. • The surface and the sentiment disagree, and the surface is usually right first.	
Market Volatility	NEUTRAL	• VIX 15.03 (~6.93% W), below its SMA10 (16.47) / SMA20 (17.18) / SMA40 (17.35) — a full volatility downtrend. The Wednesday spike to 18.91 intraday on the hawkish minutes + ceasefire collapse was <i>entirely</i> retraced by Friday. • VIX Stoch RSI 22/24 (K<D, mid-range). No lasting vol bid was established despite two genuine shocks landing in one session — which is either resilience or complacency, and Sec 3.3 argues the latter.	
Safe Haven Demand	GREED	• Read this one carefully — it is a rates artefact this week, NOT a risk-appetite signal. The component measures equity returns vs Treasury returns over 20 days. Equities are "winning" primarily because <i>bonds are losing</i> : the 10Y went to 4.561% and the 30Y through 5.059%, so Treasury total returns are negative on duration. • That is not investors shunning safety out of confidence; it is the safe asset repricing. Do not count this as confirmation of risk appetite (cross-ref the intermarket read, Sec 6.1 — bonds lead stocks, and bonds broke down).	
Junk Bond Demand	FEAR	• [CORRECTIVE LOOP] The standing divergence — but W28's reading of it is now retired. The component has refused four consecutive regimes (recovery, pullback, repair, and this narrowing), which W28 called "the cleanest standing divergence on the board." This week the actual spread became measurable and contradicts the gauge: HY OAS ~270bp (historically tight) and HYG closed FLAT (\$79.71, 0.00% W) through BOTH a ceasefire collapse and a hawkish Fed. The correct read inverts: a sentiment gauge says caution while the credit market itself says nothing is happening — and we weight the spread. • Credit is therefore the strongest single argument AGAINST the bearish case (Sec 4.5 #6, Sec 9.4). Adjudicated Tuesday by five money-centre bank provisions.	

3.3 Put/Call Ratio & Implied Volatility Analysis (Barchart, 10 Jul 2026)					
INDEX	P/C RATIO	P/C SIGNAL	IV RANK (PCTL)	IV SIGNAL	INTERPRETATION
\$SPX	1.12	NEUTRAL	13.15% (23rd)	CHEAP	• Index vol got CHEAPER still (30th → 23rd pctt W28→W29) with 4.64M contracts traded. SPX puts are close to a giveaway going into June CPI + Warsh + the money-centre banks, all on Tue 14. • The cheapest index hedge on the board relative to the event load.
\$IUXX (NDX)	1.15	NEUTRAL	65.08% (75th)	RICH	• The rich corner — but less rich than W28 (89th → 75th pctt) as the chip de-rate reversed and the NDX daily repaired. • Still the only index premium worth selling, and only on a defined-risk basis (Sec 9.5). \$XND corroborates at 74.04% (78th).
\$DJX (DOW)	0.10	EXTREME CALL SKEW	0.00% (0th)	FLOOR	• IV Rank 0.00% for a SEVENTH consecutive week — the board's entrenched structural anomaly. 90.9% of a thin 1,222-contract tape is calls, on the index that just made a new ATH and had it rejected. • The cheapest convexity available to hedge a Dow that has stopped confirming (Sec 9.5).
\$XSP (Mini-SPX)	1.30	PUT-HEAVY (56.5%)	18.70% (26th)	CHEAP	• Corroborates \$SPX at the low end (23rd/26th pctt) — the mini contract carries the heaviest put skew of the index board (56.5% puts, P/C 1.30) on 211,860 contracts. Retail-sized index hedging is being done here and it is being done cheap; the professional-sized \$SPX tape (P/C 1.12) is less defensive than the mini. • Where the two disagree, the larger contract usually leads.
\$XND (Mini-NDX)	0.57	CALL-HEAVY (63.9%)	74.04% (78th)	RICH	• Confirms the \$IUXX read (65.08% / 75th) — NDX-complex vol is the only genuinely rich index premium on the board, and both contracts agree. But note the skew conflict : \$IUXX is put-heavy (53.5%) while \$XND is call-heavy (63.9%) on a thin 1,619-contract tape. • The size is in \$IUXX; trust its put-lean over the mini's call-lean.
\$VIX	0.44	CALL-HEAVY (69.5%)	20.89% (96th)	RICH BY PCTL	• The one that changed hardest. W28: IVR 9.69% / 10th pctt. W29: 20.89% / 96th pctt. Vol-of-vol repriced sharply UP even as spot VIX fell to 15.03 — someone is paying up for VIX convexity (69.5% calls on 787,149 contracts) while the index sits near its high. • Read this as a warning, not an entry: the cheap-VIX-call trade that worked in W28 is no longer cheap, and the index-level hedges (\$SPX 23rd, \$DJX 0.00%) have not repriced at all.

3.4 Futures Positioning — CFTC Traders in Financial Futures (as of Tue 7 Jul 2026)							
<i>A growing gauge, not a timing signal. Figures are Tuesday 7 Jul open interest, published Fri 10 Jul — they lead the 10 Jul close by three sessions. Dealer intermediary is the sell-side (the counterparty to everyone else); its net short is structural and carries no directional view, and is shown only as hedging-flow context for Sec 6.5. Asset Manager and Leveraged Funds are the categories that carry information.</i>							
CONTRACT	DEALER (NET)	ASSET MGR (NET)	Δ WOW	52W %ILE	LEV FUNDS (NET)	Δ WOW	READ
\$&P 500 E-Mini	−731,085	+970,592	−5,597	59th	−361,875	−1,406	• Institutions TRIMMED into strength. SPX rose +1.23% and asset managers <i>reduced</i> net length. Not a rush for the exit — but not confirmation either.
Nasdaq 100 E-Mini	−30,244	+78,970	+11,660	68th	−55,013	+13,604	• THE CROWDING SIGNAL. Real money AND fast money BOTH piled into the AI trade in the week it led — asset managers +11,660 and leveraged funds +13,604, with dealers absorbing the other side (~27,148, i.e. 27k more short). • This is the concentration risk of Sec 9.2, visible in positioning rather than price: everyone crowded into the one leadership group holding the index up.
Russell 2000 E-Mini	+70,096	−366	−8,197	21st	−72,262	+12,096	• Institutions have ABANDONED small-caps — now net SHORT and at the 21st percentile of the 52-week range. Asset managers sold a further −8,197 on a second red week. • Positioning corroborates the technicals exactly: IWM is the most fragile index on the board (daily ADX 9.96; lost both the SMA10 and SMA20 — Sec 5.1/5.3).
VIX Futures	+36,779	−38,838	−6,180	13th	+5,112	+7,129	• THE CONFIRMATION OF THE WEEK'S TRADE. Leveraged funds flipped to NET LONG VIX (+5,112, adding +7,129) while asset managers kept selling vol (13th percentile — near a 52-week low). • This independently corroborates Sec 3.3: \$VIX IV Rank least from the 10th to the 96th percentile while spot VIX fell to 15.03. Two unrelated instruments — options pricing and futures positioning — both say fast money is paying up for volatility . The crowd is not hedged; the professionals are hedging.

Source: CFTC Commitments of Traders — Traders in Financial Futures, 7 Jul 2026.

SENTIMENT READ — Fear Left the Building in the Week the Risks Came Back: F&G 32 → 49 (Neutral), VIX 15.03, the Minutes Spike Fully Retraced — While BOTH Breadth Components Stayed in FEAR and Vol-of-Vol Repriced to the 96th Percentile	
• The regime is NEUTRAL sentiment, and that is the problem. A 17-point one-week recovery to 49 — the largest since the June lows — occurred in the week the Iran ceasefire collapsed, oil rose 6.29%, and the Fed's own minutes showed 9 of 18 members wanting a hike. Fear at 32 with a Dow record (W28) was a bullish set-up; Neutral at 49 with a broken 4.50% ceiling and a re-armed Hormuz risk is not. The crowd has stopped paying for protection precisely as the reasons to hold it multiplied.	
• The composite is being carried by momentum and options positioning, not by the tape. Market Momentum reads Greed and Put/Call reads Greed — but both breadth components (Stock Price Strength, Stock Price Breadth) are still in FEAR , and they are the two that measure how many names are actually participating. The index moved; the market did not (Sec 04: 5-day H/L +863 → −79).	
• Safe Haven Demand at Greed is a rates artefact, not a risk signal. Equities are beating Treasuries over 20 days because the 10Y went to 4.561% and the 30Y through 5% — bonds are losing on duration, not because investors are aggressively shunning safety. Do not read this component as confirmation of risk appetite this week.	
• The vol surface disagrees with the vol level — and the surface is usually right first. Spot VIX fell to 15.03, but \$VIX IV Rank jumped from the 10th to the 96th percentile , and 69.5% of VIX option volume is calls. Someone is bidding hard for VIX convexity into Tue 14 Jul. Meanwhile \$SPX IV sits at the 23rd percentile and \$DJX at 0.00% for a seventh week — the index-level hedges have not repriced at all. That gap is the trade (Sec 9.5), not the headline VIX print.	

4.1 Overall Market Breadth (Finviz, 11 Jul 2026 — reflects the Fri 10 Jul close)			
METRIC		BULLISH	BEARISH
Advancing / Declining		2,724 (48.5%)	2,643 (47.1%)
New Highs / New Lows		120 (56.1%)	94 (43.9%)
Above SMA 50		3,006 (53.6%)	2,600 (46.4%)
Above SMA 200		2,898 (51.7%)	2,708 (48.3%)

4.2 Exchange Breadth Detail — Single Day, Friday 10 Jul 2026 (Barchart)							
EXCHANGE	DECLINING	ADVANCING	A/D RATIO	NEW HIGHS	NEW LOWS	H/L DIFF	DATE
NYSE	693 (37%)	1,154 (61%)	1.67	56	16	+40	10 JUL
NASDAQ	1,668 (53%)	1,368 (44%)	0.82	48	60	−12	10 JUL
Combined	2,361	2,522	1.07	104	76	+28	10 JUL

4.3 5-Day Exchange New Highs/Lows (06–10 Jul 2026, 5 trading days, Barchart)					
UNIVERSE	HIGHS (5D)	LOWS (5D)	DIFF	SIGNAL	INTERP.
Overall (5,146)	953 (19%)	1,032 (20%)	−79	NEGATIVE	• REVERSED: +863 (W28) → −79 — a −942 swing, and the largest single-week breadth deterioration in this series. New highs collapsed 1,929 → 953 while new lows rose 1,066 → 1,032 — so more names made 5-day LOWS than HIGHS board-wide in the very week the index advanced. • W28's advance was breadth-CONFIRMED; W29's is breadth-CONTRADICTED. That is a different animal, and it is the single observation that downgrades the bias (Sec 4.5 #1, Sec 9.3).
NYSE (1,873)	376 (20%)	296 (16%)	+80	POSITIVE, MUCH WEAKER	• +347 (W28) → +80 — the last universe still standing, and it lost 77% of its margin. The Big Board's new-high line remains net-positive, which is what keeps this "narrowing" rather than "breaking". But note the irony: the NYSE-heavy Dow still closed the week RED (−0.50%) and its 5D above-MA participation collapsed 83% → 50% (Sec 4.4). • The healthiest tape on the board is attached to the index that gave back a record.
NASDAQ (3,060)	553 (18%)	688 (22%)	−135	FLIPPED NEGATIVE	• +480 (W28) → −135 — a −615 swing, and the most damning number in the report. The NASDAQ Composite ROSE +1.74% on the week while its own new-high line went net-negative and 22% of its members made 5-day lows. Cross-check Sec 4.2: on Friday itself, 53% of NASDAQ issues DECLINED on an up day. • The index is being carried by the cap-weighted top (NDX-100 5D participation 62%) while its 3,060-name base goes the other way (Composite 5D participation 49% — below half).
NYSE Arca (213)	24 (11%)	48 (23%)	−24	FLIPPED BACK NEGATIVE	• +36 (W28) → −24 — the ETF universe flipped straight back to red after one week green. W28 celebrated Arca turning positive as "the last hold-out flipping green"; it has now reversed, with lows (23%) more than double highs (11%). • The ETF complex is the cleanest read on the broad, passive, rate-sensitive bid — and with the 10Y through 4.50% and the 30Y through 5%, it went out first (corroborates XLRE 5D 26% and XLU 5D 42%, Sec 7.1).

4.4 Index MA Participation (Barchart, 10–11 Jul 2026)							
INDEX	5D	20D	50D	100D	150D	200D	INTERPRETATION
\$&P 500	55%	62%	68%	66%	65%	66%	Deep stack still uniform 62–68% — but 5D participation fell from 68% (W28) to 55% . The index gained 1.23% while the share of its members participating <i>short-term</i> dropped 13 points.
Nasdaq 100	62%	59%	59%	66%	63%	65%	The only index whose 5D exceeds its 20D/50D — the NDX repair is real and reasonably broad <i>within the NDX-100</i> . Note the tell: the 100 largest Nasdaq names participated; the 3,060-name NASDAQ tape (~135 5-day H/L) did not.
NASDAQ Composite	49%	61%	63%	68%	67%	66%	Below half at 5D (49%) while the Composite rose +1.74% on the week. The single cleanest statement of the W29 narrowing: fewer than half the Composite's members are above their 5-day average, and the index still made money.
Russell 2000	49%	57%	65%	67%	66%	66%	5D below half (49%) and the 20D eroding to 57% — consistent with a second consecutive red week and price losing the daily SMA10 AND SMA20 (Sec 05). The deep base (100–200D at 66–67%) is what is still holding it up.
Dow Jones	50%	67%	67%	70%	63%	70%	The collapse of the week: 5D participation fell from 63% (W28) to 50%. The Dow's record ATH was made on a broad tape and then abandoned by it inside two sessions. The deep stack (67–70%) is intact; the short-term bid is gone.

BREADTH READ — THE HEADLINE OF THE WEEK: 5-Day New-High/Low Breadth Collapsed From +863 to −79 (a −942 Swing) With NASDAQ and Arca Both FLIPPING NEGATIVE and the Dow's 5D Participation Falling 83% → 50% — While the S&P Gained 1.23% and the NDX 1.69%. This is the Canonical Home of the W29 Narrowing.	
• The 5-day new-high line inverted board-wide. More names made 5-day LOWS (1,032) than HIGHS (953) over the very week the index advanced. A week ago that ledger read 1,929 highs vs 1,066 lows (+863). Three of four universes are now net-negative — NASDAQ (−135), Arca (−24), and only the NYSE (+80) still positive, and it fell from +347. → <i>Tradable: this is a size/quality signal, not a sell signal. Stop adding to the broad tape and the equal-weight expression; if you own beta via small-caps or the ETF complex, that is where the participation left first.</i> • The advance is cap-weighted, and the Nasdaq proves it twice. The NDX-100 5D participation is 62% (the board's best) while the NASDAQ Composite's is 49% — below half. On Friday itself, 53% of NASDAQ issues fell while the Composite rose. The 100 biggest names are carrying an index whose 3,060-name base is going the other way. → <i>Tradable: express NDX exposure through the NDX/QQQ complex only — do NOT proxy it through broad Nasdaq or equal-weight tech; the two are now telling opposite stories.</i> • The Dow's participation collapse is the cleanest reversal on the board. 5D above-MA participation fell from 83% (the firmest read in W28) to 50% in one week, and the index gave back a fresh record ATH. Its deep stack (20D/50D/100D/200 all 67–70%) is still solid — so this is a short-term abandonment of the leader, not structural damage. → <i>Tradable: do not add to the Dow/value/cyclical leg here; use the \$DJX IV Rank of 0.00% (7th week) to hedge the position you already have rather than trimming into the gap (Sec 9.5).</i> • The deep base has NOT broken — and that is what keeps this "narrowing", not "breaking". Above-SMA50 (53.6%) and above-SMA200 (51.7%) both still hold above half; every index's 100–200D participation sits in the 63–70% band. The damage is concentrated in the 5D/20D windows. → <i>Tradable: hold core. The condition that would convert narrowing into breaking is Above-SMA50 losing 50% — watch that line, not the index.</i> • The breadth reversal and the four-of-four weekly Stoch rollover are the SAME observation from two instruments. Breadth says fewer names are participating; the weekly oscillators (Sec 05) say momentum stopped confirming on every index simultaneously. Two independent measurement systems reached the same conclusion in the same week the index rose. That coincidence is what downgrades the bias to Cautious-Constructive (Sec 9.3). → <i>Tradable: own convexity into Tue 14 Jul rather than pressing direction; the cheap leg is \$SPX (23rd pctt) and \$DJX (0.00%), NOT \$VIX (96th pctt).</i>	

4.5 Structural Fragility — Narrowing-Breadth Divergence Tracker		
• W27 split (breadth-up / large-cap-price-down). W28 converged the two BACK UP. W29 has split them AGAIN — and this time in the OPPOSITE direction: large-cap price UP, breadth DOWN. This is the most adverse configuration of the three. The surface breadth reversed hard (5-day H/L +863 → −79; NASDAQ and Arca both flipped negative; the Dow's 5D participation collapsed 83% → 50%) AT THE SAME TIME as the large-cap indices advanced (SPX +1.23%, NDX +1.69%) and the NDX daily structure repaired. • A tape that goes up on fewer names is not the same animal as a tape that goes up on more of them, and W28 was the latter. The chain's job now is to assess whether Tuesday's event stack (CPI + Warsh + five banks) repairs the participation or confirms its absence.		
#	W29 SIGNAL (STATUS VS W28)	"AND-THEN-WHAT" CHAIN
1	5-Day H/L diff +863 → −79 — REVERSED BEARISH (a −942 swing; NASDAQ −135 and Arca −24 flipped negative; NYSE +80 survives but fell from +347). New highs collapsed 1,929 → 953.	• Then: the board-wide net-positive breadth that CONFIRMED the W28 repair has inverted — more names are making 5-day LOWS than HIGHS in the week the index rose. Then: the divergence re-opened, but with the signs swapped versus W27: price-up / breadth-down is a distribution signature, where W27's breadth-up / price-down was an accumulation one. Then: the advance is now carried by the cap-weighted top of the tape (NDX-100 5D participation 62% vs NASDAQ Composite 49%), which means index strength no longer certifies market strength. • Then: the question for W29 is not "will the index hold" but "will anything else join it" — watch the 5-day H/L line turning back positive as the single cleanest repair signal.
2	Weekly Stoch RSI rollover 2-of-4 → 4-of-4 K=0 — COMPLETED (NEW; the highest-severity weekly signal W28 named, now realised). SPX 65/71, NDX 55/66, IWM 84/90 (off extreme OB); DIA 97/99 (off the 100/100 pin).	• Then: W28 flagged the DIA 100/100 pin as "one roll from a four-of-four broad rollover" — the highest-severity weekly signal available." It has now rolled. The signal is no longer a risk; it is a fact. Then: per Murphy's weekly/daily synchronisation rule, a bearish weekly oscillator on every index argues against acting on daily buy signals anywhere in the set — including the NDX daily repair, which is otherwise the week's most bullish technical event. • Then: the structural cascades are all still intact, so this is momentum withdrawing beneath structure, not structure breaking. That is the definition of the Cautious-Constructive downgrade (Sec 9.3). Then: the closing condition is explicit — a weekly K recross above D on SPX and/or NDX drops the count from four; a second weekly MACD histogram going negative escalates it.
3	NDX weekly MACD histogram +21.54 → −15.80 — CROSSED NEGATIVE ON A GREEN WEEK (NEW). The first of the four to lose its weekly histogram — on the index that LED (+1.69%).	• Then: price made the higher high and the momentum indicator did not confirm it — a textbook negative divergence on the major-trend timeframe (Murphy), and it appeared on the leader, not the laggard. Then: the NDX daily repair (SMA40 reclaimed, daily histogram crossed +1.65 from −42.41) is therefore tilting underneath a deteriorating weekly — a daily fx beneath a weekly crack. • Then: the escalation test is whether a SECOND index follows. SPX (+5.18), DIA (+2.68) and IWM (+0.8324) are all positive but contracting or thin. Then: too few four negative on the weekly would make momentum deterioration the PRIMARY read rather than a divergence — that is the line at which the bias would move below Cautious-Constructive.
4	Daily ADX still sub-trending on 3 of 4 — CARRIED, with one upgrade (DIA 19.24 → 20.62, broke 20; SPX 19.08 → 15.81, the deepest large-cap easing; NDX 17.55 → 16.74; IWM 8.26 → 9.96, still the only single-digit).	• Then: the advance continues to lack trend quality — and SPX's ADX FELL to 15.81 while it gained 1.23%, so the leader is advancing on <i>less</i> trend confirmation, not more. Then: in a sub-20 regime the MA/cascade evidence is down-weighted and the oscillators are up-weighted — and the oscillators have rolled on four (all signal #2). The two rules compound rather than offset. • Then: the single upgrade is DIA (20.62, the only index at/below 20) — but it is attached to a red week, a rejected ATH, and a daily MACD that rolled negative. Trend quality arrived exactly as momentum left. Then: IWM's 9.96 remains the fragility marker — a break of 290.5/288.62 extends with no trend resistance to slow it.
5	• VOLUME IS HEAVIER ON DOWN DAYS THAN UP DAYS — the distribution signature (NEW) — BEARISH. SPX: avg 4.47B on up days vs 8.08B on down days (1.13%). NASDAQ Comp: 7.10B vs 8.09B (1.14%). DJIA: 0.45B vs 0.45B (1.00% — neutral, no signature). • SPX average daily volume fell −18.3% W28 → W29 (5.77B → 4.71B) while the index rose, and Friday's up-day (+0.42%) printed the lowest volume of the week (4.01B).	• Then: Murphy's core volume rule — " <i>volume should expand in the direction of the existing trend; if volume picks up on declines and diminishes on rallies, the uptrend is weakening</i> " — is being violated on the two indices that led the week. The advance is happening on lighter participation AND lighter volume. Then: this is the classic distribution signature : buyers present but unenthusiastic, sellers active on weakness. It is an independent confirmation of the breadth reversal (#1) from a completely different data series — volume, not issue counts. • Then: note the hornet spit — the DJIA shows NO such signature (1.00%) , which is consistent with it simply being abandoned this week (5D participation 83% → 50%) rather than distributed. The distribution is concentrated in the mega-cap/AI complex that is actually carrying the tape. Then: Murphy also warns "volume precedes price." If W30 opens with continued heavy down-day volume and light up-day volume, the price break follows — watch the up/down volume ratio, not just the index. A ratio returning below 1.0x on SPX is the repair signal.
6	Credit STILL has not followed — and now we can measure it properly — CARRIED, RE-FRAMED. HY OAS ~270bp (7–8 Jul); HYG flat on the week (\$79.71, 0.00%). F&G Junk Bond Demand still reads Fear.	• Then: the credit-demand sentiment component has now refused four consecutive regimes (recovery, pullback, repair, and this narrowing) — but W28 treated that refusal as the signal. This week the actual spread is available, and at −270bp it is historically tight. Then: the correct read inverts: a <i>sentiment gauge</i> says caution while the <i>credit market itself</i> says nothing is happening. Weight the spread over the gauge. [CORRECTIVE LOOP — this supersedes the W28 framing of the divergence as "the cleanest standing divergence on the board"] • Then: the divergence is no longer unfaithful — five money-centre banks report Tue 14 Jul and BlackRock Wed 15 Jul. Loan-loss provisions and private-credit commentary adjudicate it with hard data, this week. Then: HY spreads +40–60bp from −270bp remains the Tail Trigger (Sec 8.3). Until then, credit is NOT confirming the equity fragility — and that is the strongest single argument against the bearish read.

Lollapalooza assessment (W29): the week re-split the W28 convergence — and in the more divergence direction. SIX independent measurement systems all deteriorated in the same week the index advanced: surface Breadth (5-day H/L +863 → −79), weekly momentum (Stoch rollover 2-of-4 → 4-of-4), major-trend momentum (NDX weekly MACD histogram crossing negative on a green week), participation (Dow 5D 83% → 50%), volume (heavier on down days than up days on SPX and the Composite — the distribution signature), and the intermarket chain (bonds lead stocks, and bonds broke down — Sec 6.1). These are not six views of one dataset: they are issue counts, oscillators, MACD, above-MA participation, traded volume, and cross-asset price — six different instruments, one conclusion — and futures positioning makes a seventh: institutions have gone NET SHORT the Russell (21st percentile) while crowding into the NDX, and leveraged funds have flipped net long VIX (Sec 3.4). Simultaneously both macro anchors turned hostile: the 10Y broke 4.50% and the 30Y broke 5% on 9-of-18 hike dots, and the Iran ceasefire collapsed with Brent +6.29%. That is convergence — but of <i>negative</i> forces, and it is what a narrowing top-building process looks like from the inside.	
• Holding it short of a bearish call — three things genuinely have not broken: (a) all four weekly SMA cascades are intact and rising with price above the weekly SMA10 on every index, and all four TGPS PW Modes read Bullish with COM above zero; (b) the deep breadth base holds (every index 63–70% above its 100–200D MAs; Above-SMA50 53.6%, Above-SMA200 51.7% — both above half); (c) credit is quiet at −270bp OAS , which is the channel that would convert an equity narrowing into a genuine risk-off event, and it is shut.	
• And-then-what: a benign CPI + a measured Warsh + clean bank provisions repairs participation and the narrowing resolves upward; a hot core CPI or a hawkish Warsh into a −79 breadth line and a four-of-four rollover leaves the index with no second leadership group to catch it.	
Monitor — the tripwires, in priority order: • REPAIR signal: the 5-day H/L line turning back positive from −79 — the cleanest evidence the narrowing has stopped. • REPAIR signal: the SPX up/down-day volume ratio returning below 1.0x ("volume precedes price"). • ESCALATION signal: a SECOND weekly MACD histogram going negative — SPX (+5.18), DIA (+2.68) or IWM (+0.83) joining NDX (−15.89). That would make momentum deterioration the primary read rather than a divergence. • NARROWING → BREAKING: Above-SMA50 losing 50% (currently 53.6%). • Per-index lines: NDX holding the 29,598–29,700 band; IWM's 290.51 / 288.62 shelf. • Macro / credit: the 10Y at 4.561% and the 30Y above 5%; HY spreads from ~270bp; and Tuesday's bank provisions.	

5.1 Position & Swing Analysis — Weekly & Daily Timeframes

COMPONENT	SPY/SPX	NDX/QQQ	IWM/RUT	DIA/DJIA
Current Price	SPX 7,575.99 SPY \$754.95	NDX 29,825.11	IWM \$295.99 RUT 2,977.81	DIA \$525.78 DJIA 52,637.01
Weekly Change	+1.23% (2nd green wk)	+1.69% (LED)	-0.53% (2nd red wk)	-0.40% (ATH rejected)
Position Weekly	- Mode: BULLISH (weekly candle blue; Weekly Mode label confirms). COM ~23 (positive; panel read, notes) — gradient rising from W28 ~19). NO TIF on the rightmost weekly candle (panel read; notes). Immediate support ~730; subsequent ~715. - Chart labels: O 748.74 / H 755.42 / L 739.51 / C 754.95, +10.17 (+1.4%); ADR 3.21%; Dynamic SL 2X Long 696.150 / Short 798.780; MA10 743.367 / MA50 686.428 / MA200 542.227; 52-wk High \$760.4 / Low \$618.1.	- Mode: BULLISH (weekly candle blue; Weekly Mode label confirms). COM ~40 (positive, gradient rising — per the Trader Notes + COM above zero with a positive gradient indicates a strengthening bullish tide). NO TIF on the rightmost weekly candle (panel read; notes). Immediate support ~28,200 (label \$28,181.07); subsequent ~26,200 (label \$26,125.51). - Chart labels: O 29,575.57 / H 29,856.94 / L 28,814 / C 29,825.11, +495.9 (+1.7%); Dynamic SL 2X Long 26,311.653 / Short 32,359.287; MA10 29,544.731 / MA50 25,806.532 / MA200 19,174.148; 52-wk High \$30,762 / Low \$22,669.	- Mode: BULLISH (weekly candle blue; Weekly Mode label confirms). COM ~38 (positive; panel read, notes). NO TIF on the rightmost weekly candle (panel read; notes). Immediate support ~288 / 10MA (MA10 290.091); subsequent ~270. - Chart labels: O 297.75 / H 300.41 / L 290.68 / C 295.99, -1.59 (-0.5%); ADR 4.32%; Dynamic SL 2X Long 268.576 / Short 322.512; MA50 257.340 / MA200 212.468; 52-wk High \$302.7 / Low \$212.3.	- Mode: BULLISH (weekly candle blue; Weekly Mode label confirms). COM ~22 (positive, gradient rising). DARK-GREEN TIF on the rightmost weekly candle (panel read; notes) — per the Trader Notes a TIF above zero indicates a strong trend and ranks the impulse of a signal; reported here as an independent PW read only. - Immediate support 10MA ~510 (MA10 511.809); subsequent ~500 (label \$500.39). Chart labels: O 528.72 / H 532.54 / L 520.09 / C 525.78, -2.11 (-0.4%); ADR 2.86%; Dynamic SL 2X Long 484.174 / Short 558.396; MA50 481.067 / MA200 403.685; 52-wk High \$532.5 / Low \$433.4 (new ATH intraweek).
PW SUMMARY	- TGPS: Mode Bullish (weekly candle blue) - COM above zero ~23, gradient rising (from ~19) - no TIF on the rightmost bar - TA: ADX 17.87 (RANGING) - MACD(8,17,8) hist +5.18 (expanded from +3.20) - Stoch RSI 65/71, K<D - WVF ~2.09 (suppressed) Read: Secondary CORROBORATES on structure — full rising cascade, the healthiest weekly histogram of the four — but CONTRADICTS on the oscillator: the weekly Stoch has rolled K<D.	- TGPS: Mode Bullish (weekly candle blue) - COM above zero ~40, gradient rising - no TIF on the rightmost bar - TA: ADX 22.68 (TRANSITIONING, easing) - MACD hist ~15.89 — CROSSED NEGATIVE from +21.54 - Stoch RSI 55/66, K<D (widest gap of the four) - WVF ~5.23 Read: Secondary CONTRADICTS. The strongest price week of the four (+1.69%) delivered the FIRST negative weekly MACD histogram on the board — a textbook negative divergence on the major-trend timeframe, on the index that led.	- TGPS: Mode Bullish (weekly candle blue) - COM above zero ~38 - no TIF on the rightmost bar - TA: ADX 21.54 (TRANSITIONING) - MACD hist +0.8324 (halved from +1.53) - Stoch RSI 84/90, K<D — rolled off extreme overbought (W28 93/90) - WVF ~3.05 Read: Secondary CONTRADICTS. A second red week, the Stoch rolling from extreme OB, and the histogram halving — failure to exceed the prior high with the oscillator rolling is the classic negative-divergence set-up.	- TGPS: Mode Bullish (weekly candle blue) - COM above zero ~22, gradient rising - dark-green TIF on the rightmost bar - TA: ADX 24.09 (TRANSITIONING — highest of four, rising) - MACD hist +2.68 (contracting from +3.05) - Stoch RSI 97/99, K<D — rolled off the 100/100 pin - WVF ~1.49 Read: Secondary CONTRADICTS. DIA made a new ATH (\$32.54) and closed red. The 100/100 weekly Stoch W28 flagged as the highest-severity outstanding signal has now rolled — resolving the last hold-out and completing a four-of-four rollover.
Swing Weekly	- All MAs pointing up (MA10 743.367 / MA20 710.851 / MA40 695.733 / MA50 686.428 / MA200 542.227); the gaps between the MAs are wide — per the Trader Notes, wide MA spacing indicates trend strength. - CCI(5) ~91 (positive, approaching the +100 overbought band; W28 ~28). Immediate support ~730; subsequent 20MA ~710 (MA20 710.851).	- All MAs pointing up (MA10 29,544.731 / MA20 27,365.518 / MA40 26,291.703 / MA50 25,806.532 / MA200 19,174.148); the 10MA carries a wide gap to the 20/40/50MAs. CCI(5) ~26 (below zero, deepened from W28 ~16) — per the Trader Notes CCI(5) is a dip-locator, and a negative CCI inside an up-sloping MA stack is the dip condition, not a trend failure. - Immediate support 28,200; subsequent 20MA ~27,300.	- All MAs pointing up (MA10 290.091 / MA20 274.471 / MA40 263.209 / MA50 257.340 / MA200 212.468); the 10MA carries a wide gap to the 20/40/50MAs. CCI(5) ~15 (barely positive, collapsed from W28 ~78); Immediate support 10MA ~288~290; subsequent ~274 / 20MA (MA20 274.471).	- All MAs pointing up (MA10 511.809 / MA20 494.122 / MA40 487.660 / MA50 481.067 / MA200 403.685). CCI(5) ~88 (positive, easing off the W28 ~115 overbought print). - Immediate support 10MA ~510; subsequent 20MA ~494 (MA20 494.122). Price carries the widest premium to its weekly 10MA of the four (~2.7%).
SW SUMMARY	- TGPS: CCI(5) ~91 — positive, approaching the +100 band (W28 ~28) - weekly MA10 743.37 > MA20 710.85 > MA40 695.73, all rising, wide spacing (Trader Notes: trend strength) - price ~1.6% above MA10 - TA: weekly ADX 17.97 (RANGING) - MACD hist +5.18 - Stoch 65/71 K<D Read: The two swing axes disagree — the CCI is climbing toward overbought while the Stoch has rolled. The MA fan is the strongest weekly structure of the four.	- TGPS: CCI(5) ~26 — below zero, deepened from ~16; per Trader Notes a negative CCI inside an up-sloping MA stack is the dip condition, not a trend failure - MA10 29,544.73 > MA20 27,365.52 > MA40 26,291.70, wide 10MA gap - price ~0.9% above MA10 - TA: weekly ADX 22.68 - MACD hist ~15.89 (crossed negative) - Stoch 55/66 K<D Read: The only index with a negative weekly CCI AND a negative weekly histogram — both swing/momentum axes below the line while price makes the best gain on the board.	- TGPS: CCI(5) ~15 — barely positive, collapsed from ~78 - MA10 290.09 > MA20 274.47 > MA40 263.21, all rising - price ~2.0% above MA10 - TA: weekly ADX 21.54 - MACD hist +0.8324 (halved) - Stoch 84/90 K<D Read: The sharpest weekly swing-momentum decay of the four (~78 → ~15). Structure intact; the swing axis has given up almost everything it gained in W28.	- TGPS: CCI(5) ~88 — positive, off the W28 ~115 overbought print - MA10 511.81 > MA20 494.12 > MA40 487.66, all rising - price ~2.7% above MA10 (the widest premium to the weekly 10MA on the board) - TA: weekly ADX 24.09 (highest, rising) - MACD hist +2.68 (contracting) - Stoch 97/99 K<D Read: The best weekly MA structure on the board, with the swing CCI easing off overbought and price carrying the widest premium to its 10MA — stretched into the ATH.
Position Daily	- Mode: BULLISH (rightmost daily candle blue). COM ~1 (positive, holding just above the zero line; panel read, notes). Green Buy Arrow on the rightmost bar, TIF absent on that bar (panel read; notes) — reported as an independent PD read, no cross-system inference. - Immediate support ~730; subsequent ~715. Chart labels: O 752.05 / H 755.42 / L 748.1 / C 754.95, +3.24 (+0.4%); ADR 1.17%; Dynamic SL 2X Long 729.508 / Short 774.012; MA10 745.835 / MA50 741.237 / MA200 694.482.	- Mode: BULLISH (persistent Mode label reads Bullish). COM ~2 (positive, just above zero line; panel read, notes). NO TIF on the rightmost bar (panel read; notes). Recent daily candles red; immediate support ~28,800; subsequent ~28,100. - Chart labels: O 29,618.34 / H 29,856.94 / L 29,484.49 / C 29,825.11, +98.01 (+0.3%); Dynamic SL 2X Long 28,183.905 / Short 31,571.525; MA10 29,598.278 / MA50 29,389.560 / MA200 26,219.169.	- Mode: BULLISH (rightmost daily candle blue). COM ~3 (positive but down from W28 ~9, gradient FALLING — per the Trader Notes, the bullish tide is losing strength). NO TIF on the rightmost bar (panel read; notes). Immediate support 50MA ~288 (MA50 288.623); subsequent ~270. - Chart labels: O 297.69 / H 298.21 / L 293.62 / C 295.99, -1.25 (-0.4%); ADR 1.61%; Dynamic SL 2X Long 283.432 / Short 308.398; MA10 297.795 / MA200 262.104.	- Mode: BULLISH (rightmost daily candle blue). COM ~5 (positive but down from W28 ~8, gradient FALLING). NO TIF on the rightmost bar (read fresh; not carried from W28). Immediate support ~520; subsequent ~512. - Chart labels: O 525.64 / H 526.47 / L 521.74 / C 525.78, +1.59 (+0.3%); ADR 1.00%; Dynamic SL 2X Long 510.180 / Short 535.900; MA10 524.338 / MA50 509.208 / MA200 486.212.
PD SUMMARY	- TGPS: Mode Bullish (rightmost daily candle blue) - COM above zero ~1 (holding just above the line) - green Buy Arrow on the rightmost bar - no TIF on that bar - TA: ADX 15.81 (RANGING — the deepest large-cap easing, from 19.08) - MACD hist +15.40 (expanded from +9.41) - Stoch RSI 91/82 (overbought) - WVF ~0.89 Read: Secondary CORROBORATES the advance but not the regime — price above the full daily cascade with an expanding histogram, yet a sub-16 ADX and a 91 oscillator. In this regime the MA evidence is down-weighted and the overbought oscillator up-weighted.	- TGPS: Mode Bullish (persistent Mode label Bullish) - COM above zero ~2 (just above the line) - no TIF on the Buy Arrow on the rightmost bar (panel read; notes) - TA: ADX 16.74 (RANGING) - MACD hist +1.65 — CROSSED POSITIVE from ~42.41; the LINE is still below zero (~7.94) - Stoch RSI 33/20 (low-level up-cross) - reclaimed the daily SMA40 (29,667.04) Read: The W28 daily break is REPAIRED — but early and unconfirmed: the MACD line is still negative, the three daily SMAs are compressed into a 0.34% band (Murphy: converging MAs = weak/changing trend), and the ADX offers no trend support.	- TGPS: Mode Bullish (rightmost daily candle blue) - COM above zero ~3 — down from ~9, gradient falling (Trader Notes: the bullish tide is losing strength). NO TIF on the rightmost bar - TA: ADX 9.96 (RANGING — the only single-digit read on the board) - MACD hist ~0.9157, deepening from ~0.1654 - Stoch 23/19 - price BELOW the daily SMA10 (29,779) AND SMA20 (296.13) Read: Secondary CONTRADICTS. IWM has lost the intermediate trend — it broke the SMA20 (it was only below the SMA10 in W28). The histogram is deepening, and with the ADX at 9.96 a break of the 290.51/288.62 shelf would extend with no trend quality to resist it.	- TGPS: Mode Bullish (rightmost daily candle blue) - COM above zero ~5 — down from ~8, gradient falling - no TIF on the rightmost bar (read fresh; not carried from W28) - TA: ADX 20.62 (TRANSITIONING — the ONLY index at/above 20 on the daily; rising from 19.24) - MACD hist ~0.3906 — ROLLED NEGATIVE from +0.5129 - Stoch RSI 13/34 — collapsed from 92/87 - WVF ~1.58 Read: A SPLIT read. DIA holds the only unambiguous daily cascade and the only daily trend quality on the board — attached to a histogram that just rolled negative and an oscillator that fell from 92 to 13 while price held. Structure intact, momentum spent.
Swing Daily	- MAs compressed: the 10MA sits above the 40MA while the 20MA sits below it (MA10 745.835 > MA40 744.717 > MA20 743.912); MAs still pointing up (MA50 741.237 / MA200 694.482). Per the Trader Notes, narrow MA spacing may signify a weakening trend or a change of trend. - CCI(5) ~107 (above the +100 overbought band; W28 ~54). Immediate support 50MA ~740 (MA50 741.237); subsequent ~715.	- All MAs pointing up but compressed (MA10 29,598.278 < MA40 28,866.952 < MA20 29,700.396; MA50 29,389.560 / MA200 25,219.169) — narrow spacing, which per the Trader Notes may signify a weak or changing trend. - CCI(5) ~63 (positive, up from W28 ~31 — the largest daily swing improvement of the four). Immediate support ~28,800; subsequent ~28,100.	- The 10MA and 20MA are converging (MA10 297.795 / MA20 296.130) — narrow spacing, a possible trend change per the Trader Notes. The 20/40/50/200MAs are pointing up (MA40 290.507 / MA50 288.623 / MA200 262.104). - CCI(5) ~19 (negative, recovering off a sub~100 dip; W28 ~44). Price is below both the 10MA and the 20MA. Immediate support 40/50MA ~288~290; subsequent ~270.	- All MAs pointing up (MA10 524.338 > MA20 520.449 > MA40 512.786 > MA50 509.208; MA200 486.212) — an ascending, well-spaced stack, the cleanest daily MA structure of the four. CCI(5) ~27 (below zero, recovering off a sub~100 dip; chart corroborates the notes). W28 was +145 — the sharpest swing reversal on the board). Immediate support 20MA ~520 (MA20 520.449); subsequent 40MA ~510 (MA40 512.786).
SD SUMMARY	- TGPS: CCI(5) ~107 — above the +100 overbought band (W28 ~54) - daily MAs COMPRESSED: MA10 745.84 > MA40 744.72 > MA20 743.91 (Trader Notes: narrow spacing may signify a weakening trend or a change of trend); MA50 741.24 / MA200 694.48 - TA: daily ADX 15.81 - MACD hist +15.40 - Stoch 91/82 Read: BOTH daily oscillators are now overbought (CCI ~107; Stoch 91) inside a compressed MA stack and a sub-16 ADX. Momentum is doing the work that trend quality is not.	- TGPS: CCI(5) ~63 — positive, up from ~31 - all daily MAs up-sloping but compressed: MA10 29,598.28 < MA40 29,666.95 < MA20 29,700.40 (narrow spacing = weak or changing trend per Trader Notes) - TA: daily ADX 16.74 - MACD hist +1.65 - Stoch 33/20 Read: The swing axis CONFIRMS the daily repair (CCI ~31 ~> 63) — the biggest daily swing improvement on the board. The compressed MA band is what asks conviction.	- TGPS: CCI(5) ~19 — negative, recovering off a sub~100 dip (W28 ~44) - MA10 297.80 and MA20 296.13 CONVERGING (narrow — possible trend change); MA40 290.51/ MA50 288.62 / MA200 262.10 still rising - TA: daily ADX 9.96 - MACD hist ~0.9157 - Stoch 23/19 Read: The dip condition holds, but price has now lost BOTH the MAs — the 290.51 (SMA40) / ~288.6 (50MA) shelf is the operative line and the last daily structure IWM has.	- TGPS: CCI(5) ~27 — below zero, recovering off a sub~100 dip. W28 was +145 - MA10 524.34 > MA20 520.45 > MA40 512.79 > MA50 509.21 — an ascending, well-spaced stack (the cleanest on the board) - TA: daily ADX 20.62 - MACD hist ~0.3906 - Stoch 13/34 Read: The sharpest swing-momentum reversal on the board — +145 to ~27 in one week — inside the best MA structure on the board. The swing axis led the W28 repair and has now led the turn.

Source: W28 TGPS + TA Chart Reads sub-document (12 Jul 2026) — ChartNews (TGPS) and TradingView (classical).

5.2 Support & Resistance Levels

LEVEL TYPE	SPY/SPX	NDX/QQQ	IWM/RUT	DIA/DJIA
Resistance	7,579.93 (wk/daily high) → 7,611.06 → 7,620.90 (ATH)	29,856.94 (wk/daily high) → 30,699.10 → 30,762.20 (ATH)	296.13 (daily SMA20 — now OVERHEAD) → 297.79 (daily SMA10) → 298.21 → 302.72 (52w high)	526.47 (daily high) → 532.54 (ATH, rejected)
Pivot	7,575.39 SPX / \$754.95 SPY	29,825.11 NDX	\$295.99 IWM / 2,977.81 RUT	\$525.78 DIA / 52,637.01 DJIA
Immediate Support	7,508.16 (daily low) / 7,485.73 (daily SMA10) / 7,466.50 (daily SMA40) / 7,461.16 (daily SMA20) / 7,458.94 (weekly SMA10). SPY: 745.84 (MA10) / 741.24 (MA50).	29,700.47 (daily SMA20) / 29,667.04 (daily SMA40) / 29,598.33 (daily SMA10) / 29,544.73 (weekly SMA10) / 29,484.49 (daily low). The three daily SMAs span just 0.34% — a single band, not three levels.	293.62 (daily low) / 290.68 (weekly low) / 290.51 (daily SMA40) / 290.09 (weekly SMA10) / 288.62 (50MA). Note: the daily SMA10 (297.79) and SMA20 (296.13) are now ABOVE price — they are resistance, not support.	524.34 (daily SMA10) / 521.74 (daily low) / 520.45 (daily SMA20) / 520.03 (weekly low) / 517.62.
Support Tiers (Classical)	7,458.94 (weekly SMA10) → 7,421.82 (weekly low) → 7,338.38 → 7,131.83 (weekly SMA20) → 6,978.99 (weekly SMA40). SPY weekly: 743.37 (MA10) → 710.85 (MA20) → 695.73 (MA40); Dynamic SL 2X Long 729.51.	29,544.73 (weekly SMA10) → 28,814.57 (weekly low) → 28,478.39 → ~28,200 (chart label 28,181.07) → 27,365.52 (weekly SMA20) → 26,291.70 (weekly SMA40). Daily MA50 29,389.56 / MA200 25,219.17; Dynamic SL 2X Long 28,183.91.	290.09 (weekly SMA10) → 288.62 (50MA) → 278.34 → 274.47 (weekly SMA20) → 263.21 (weekly SMA40) → 262.10 (daily MA200). Dynamic SL 2X Long 263.43.	512.79 (daily SMA40) → 511.81 (weekly SMA10) → 509.21 (daily MA50) → 500.43 → 484.12 (weekly SMA40) → 487.66 (weekly SMA40) → 486.21 (daily MA200). Dynamic SL 2X Long 510.18.
KEY LEVEL THIS WEEK	7,461~7,486 (the daily SMA cluster) The W28~W29 repair line. A daily close back inside/below the cluster reverses two weeks of work — and with the ADX at 15.81 there is no trend quality holding it up.	29,598~29,700 (the compressed SMA band) The repair is only ~0.4% thick. Losing this band fails the daily reclaim <i>immediately</i> . Above: the weekly histogram must recross positive from ~15.89 or the daily repair sits under a deteriorating weekly.	290.51 / ~288.62 (SMA40 / 50MA) The last daily structure. Below it, with the daily ADX at 9.96, a move extends with <i>no trend resistance</i> . This is the most fragile level on the board.	524.34 / 520.45 (SMA10 / SMA20) The cascade DIA must hold to keep the best structure on the board credible after the ATH rejection and the daily MACD roll.

5.3 Directional Bias & Combined Read

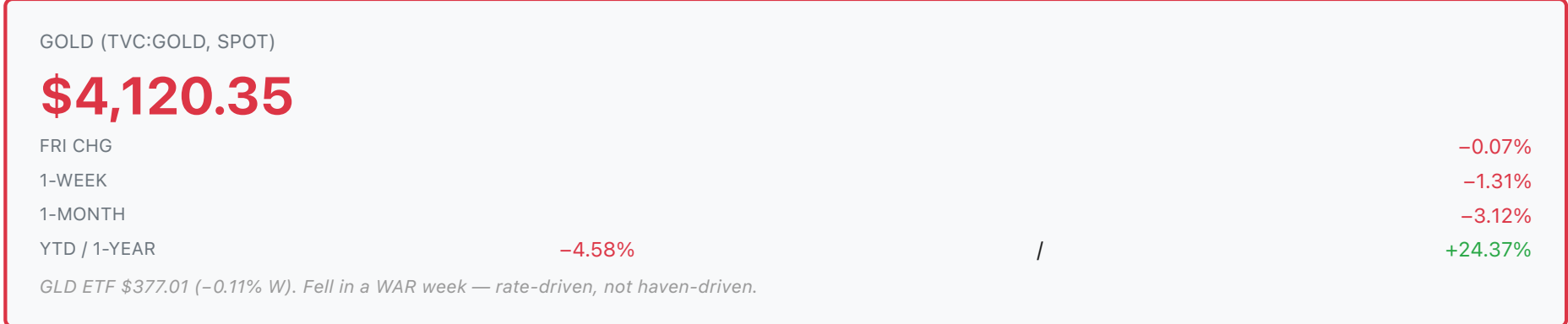
INDEX	VERDICT	COMBINED READ (TGPS PRIMARY - CLASSICAL TA SECONDARY)
SPY/SPX	CONSTRUCTIVE CLEANEST CONTINUATION — PRICE-LED, TREND-UNCONFIRMED	TGPS source-note picture: PW Mode Bullish + COM ~23 (gradient rising from W28 ~19), NO TIF - PD Mode Bullish + COM ~1 (just above zero) + green Buy Arrow on the rightmost bar, NO TIF - SW CCI(5) ~91 (positive, approaching +100; W28 ~28) with the weekly MA fan wide and rising (743.37 / 710.85 / 695.73) - SD CCI(5) ~107 (<i>above the +100 band</i>; W28 ~54) but the daily MAs are COMPRESSED (745.84 > 744.72 > 743.81) — per Trader Notes, narrow spacing may signify a weakening or changing trend. TA: ADX 15.81 daily (RANGING — the deepest large-cap easing, from 19.08) / 17.97 weekly (RANGING) - MACD(8,17,9) hist +15.40 (expanded from +9.41), weekly +5.18 (from +3.20) - Stoch RSI daily 91/82 (overbought), weekly 65/71 K<D — rolled - WVF ~0.89 (the most suppressed of the eight). Read: Secondary CORROBORATES on structure — the healthiest momentum profile of the four, only ~0.60% of its ATH — but CONTRADICTS on regime and stretch. A sub-16 ADX DOWN-weights the MA/cascade evidence and UP-weights the oscillator, and both oscillators are overbought while the weekly has rolled. A price-led advance with no trend confirmation behind it.
NDX/QQQ	CONSTRUCTIVE (UNCONFIRMED) DAILY REPAIRED BENEATH A DETERIORATING WEEKLY	TGPS source-note picture: PW Mode Bullish + COM ~40 with a rising gradient (Trader Notes: COM above zero with a positive gradient = a strengthening bullish tide), NO TIF - PD Mode Bullish + COM ~2 (just above zero), NO TIF - SW CCI(5) ~26 (below zero, deepened from W28 ~16) — the Trader-Notes <i>dip condition</i> inside an up-sloping weekly stack, not a trend failure - SD CCI(5) ~63 (positive, up from W28 ~31 — the largest daily swing improvement on the board) inside a compressed daily stack. TA: ADX 16.74 daily (RANGING, from 17.55) / 22.68 weekly (TRANSITIONING, easing from 23.36) - MACD daily hist +1.65 — CROSSED POSITIVE from ~42.41, but the LINE is still below zero (~7.94) - weekly hist ~15.89 — CROSSED NEGATIVE from +21.54 - Stoch RSI daily 33/20 (low-level up-cross), weekly 55/66 K<D — rolled (widest gap of the four). Read: The W28 laggard flag is REVERSED — NDX reclaimed the daily SMA40 (29,667.04) and led the week (+1.69%). But three things without confirmation: the MACD line is still negative, the three daily SMAs span only 0.34% (Murphy: converging MAs = weak/changing trend), and the daily ADX offers no trend support. Above all, the weekly histogram crossed negative ON an up week — a textbook negative divergence on the major trend. A daily repair sitting underneath a deteriorating weekly.
IWM/RUT	CAUTIOUS THE LAGGARD — DETERIORATED ON EVERY AXIS	TGPS source-note picture: PW Mode Bullish + COM ~38, NO TIF - PD Mode Bullish + COM ~3 — <i>down from W28 ~9 with a FALLING gradient</i> (Trader Notes: the bullish tide is losing strength), NO TIF - SW CCI(5) ~15 (barely positive, collapsed from W28 ~78 — the sharpest weekly swing decay of the four) - SD CCI(5) ~19 (negative, recovering off a sub~100 dip; W28 ~44) with the daily 10MA and 20MA CONVERGING (297.80 / 296.13) — a possible trend change per Trader Notes. TA: ADX 9.96 daily (RANGING — the only single-digit read on the board, off the W28 floor of 8.26) / 21.54 weekly - MACD daily hist ~0.9157, DEEPENING from ~0.1654; weekly hist +0.8324, halved from +1.53 - Stoch RSI daily 23/19, weekly 84/90 K<D — rolled off EXTREME overbought (W28 93/90). Read: Secondary CONTRADICTS on every axis. Price has lost the daily SMA10 and SMA20 (in W28 it was below only the SMA10); a second red week (~0.53%); the histogram deepening; the weekly Stoch rolling from extreme OB with a failure to exceed the prior high — the classic negative-divergence set-up. And with the daily ADX at 9.96, a break of the 290.51 / 288.62 shelf extends with no trend quality to resist it. The most fragile setup on the board.
DIA/DJIA	NEUTRAL STRUCTURE INTACT, MOMENTUM SPENT	TGPS source-note picture: PW Mode Bullish + COM ~22 with a rising gradient + DARK-GREEN TIF on the rightmost weekly bar (the only TIF in the W29 set; per Trader Notes TIF above zero indicates a strong trend and ranks the impulse of a signal) - PD Mode Bullish + COM ~5 — <i>down from W28 ~8, gradient FALLING</i> — NO TIF (read fresh on this week's rightmost bar) - SW CCI(5) ~88 (positive, easing off the W28 ~115 OB print) - SD CCI(5) ~27 — <i>from W28 ~+145</i>, the sharpest swing-momentum reversal on the board — inside the cleanest ascending daily stack (524.34 > 520.45 > 512.79 > 509.21). TA: ADX 20.62 daily (TRANSITIONING — broke 20 from 19.24; the ONLY index at/above 20 on the daily, so per Murphy MA/trendline tools regain weight here) / 24.09 weekly (highest of four, rising) - MACD daily hist ~0.3906 — ROLLED NEGATIVE from +0.5129; weekly +2.68, contracting from +3.05 - Stoch RSI daily 13/34 (collapsed from 92/87), weekly 97/99 K<D — rolled off the 100/100 pin. Read: A genuine SPLIT. DIA holds the best structure on the board and the only daily trend quality — and it printed a new ATH (\$32.54 / DJI 53,289.30 intraday) and closed RED, rolled its daily histogram negative, collapsed its daily Stoch 92>13, reversed its swing CCI +145→~27, and saw SD participation fall 83%→50% (Sec 4.4). W28 flagged the 100/100 weekly Stoch as the highest-severity outstanding signal; it has now rolled, completing the four-of-four. Price is holding a structure that momentum has already left.

Aggregate view: the divergence is **momentum-vs-price** — and on the classical side it is now **broad rather than index-specific**.

5.4 Tactical vs Structural Framework

HORIZON	BIAS	TECHNICAL SETUP	ACTION PLAN
TACTICAL (3-5 Sessions)	CAUTIOUS	TGPS PD source-note picture: all four PD candles read Mode Bullish with COM above zero — SPY ~1 (with a green Buy Arrow on the rightmost bar), NDX ~2, IWM ~3, DIA ~5 — but the IWM and DIA COM gradients are FALLING (from ~9 and ~8), which per Trader Notes means the bullish tide is losing strength on both. NO TIF on any PD in the set; the single dark-green TIF sits on DIA's PW. SD CCIs are fully dispersed: SPY ~107 (above +100) and NDX ~63 positive; IWM ~19 and DIA ~27 negative, both recovering off sub~100 dips (the Trader-Notes dip condition). Classical: the tactical picture is event-dominated and momentum-unsupported. June CPI + Warsh's first testimony + five money-centre banks ALL land Tuesday 14 Jul before noon. Into that: a four-of-four weekly Stoch rollover, 5-day breadth at ~79, volume heavier on down days than up days (SPX 1.13x — the distribution signature), the 10Y through 4.50% and the 30Y above 5%, oil re-armed on a collapsed ceasefire, and the daily ADX sub-trending on three of four (SPX 15.81 / NDX 16.74 / IWM 9.96; only DIA at 20.62). In a sub-20 regime the oscillators carry the weight — and they are rolling.	Do not press direction into Tuesday. Per Murphy's weekly/daily synchronisation rule, a bearish weekly oscillator on ALL FOUR argues against acting on daily buy signals <i>anywhere</i> in the set — explicitly including the NDX daily repair, which is otherwise the week's most bullish technical event. Own convexity rather than direction, and buy it where the market forgot to reprice it: \$SPX (IVR 13.15%, 23rd pct) and \$DJX (0.00%, 7th consecutive week) — NOT \$VIX, which has already repriced from the 10th to the 98th percentile (Sec 9.5). - No new beta before Tuesday's close. Sell NDX premium defined-risk only (\$IUXX 75th pct), never naked through a three-event morning. If forced to reduce, IWM goes first: at ADX 9.96 a break of 290.51/288.62 extends with no trend resistance.
STRUCTURAL (4-8 Weeks)	CONSTRUCTIVE	TGPS PW source-note picture: all four PW candles read Mode Bullish with COM above zero — SPY ~23, NDX ~40, IWM ~38, DIA ~22 — with rising gradients on SPY, NDX and DIA (per Trader Notes, a strengthening bullish tide), and a dark-green TIF on DIA's PW rightmost bar. SW CCIs: SPY ~91 and DIA ~88 positive; IWM ~15 barely positive (collapsed from ~78); NDX ~26 below zero — the dip condition inside an up-sloping stack, not a trend failure. All four weekly MA fans are rising with wide 10MA gaps (trend strength per Trader Notes). Classical: nothing structural has broken. Every index retains a full rising weekly SMA cascade (10 > 20 > 40) with price above its weekly SMA10; the deep breadth base holds (all five indices 63~70% above their 100~2000 MAs; Above-SMA50 53.6% / Above-SMA200 51.7%, both above half); and credit is not confirming stress (HY OAS ~270bp, HYIG flat through both shocks). The weekly ADX is TRANSITIONING on NDX (22.68) / IWM (21.54) / DIA (24.09, rising) and RANGING on SPX (17.97).	Hold core. The structural thesis breaks only on weekly SMA10 losses — SPX 7,458.94 / NDX 29,544.73 / IWM 290.09 / DIA 511.81. Reduce the index that loses its line, <i>on the break, not before, and not on a headline</i>. Two conditions would convert "narrowing" into "breaking" and are the ones to watch rather than the index print: (a) Above-SMA50 losing 50% (Sec 4.1); (b) a SECOND weekly MACD histogram going negative — SPX (+5.18), DIA (+2.68) or IWM (+0.83) joining NDX (~15.89), which would make momentum deterioration the primary read rather than a divergence (Sec 4.5

6.1 Commodities (10 Jul close) — The Metals SOLD on the Hawkish Fed While Crude SPIKED on the Ceasefire Collapse



7.1 Barchart Sector Strength (% Above Moving Averages — 10–11 Jul 2026)

Sector / Index	5D	20D	50D	100D	150D	200D	Assessment	Interpretation
S&P 500 (SPY)	55%	62%	68%	68%	65%	66%	MODERATE	Uniform 62–68% deep stack, but 5D fell from 68% (W28) to 55%.
Nasdaq 100 (QQQ)	62%	59%	59%	66%	63%	65%	STRONGEST 5D	The only index whose 5D beats its 200/500 — the NDX repair is broad within the 100.
NASDAQ Composite (XIC)	49%	61%	63%	68%	67%	66%	BELOW HALF (5D)	Rose +1.74% on the week with fewer than half its members above their 5-day MA.
Russell 2000 (IWM)	49%	57%	65%	67%	66%	66%	ERODING	5D below half and 20D slipping to 57% — a second red week; the deep base is all that holds it.
Dow Industrials (DIA)	50%	67%	67%	70%	63%	70%	COLLAPSED 5D	83% → 50% in one week. Made a record ATH on a broad tape, then the tape abandoned it. Deep stack intact.
Consumer Discretionary (XLY)	70%	38%	55%	57%	49%	47%	SHARP BOUNCE, WEAK BASE	The 2nd-best 5D on the board (70%) sitting on the 2nd-worst 20D (38%) and a sub-50% 200D. A violent short-term bounce off a broken base — the profile of a squeeze, not a trend.
Consumer Staples (XLP)	59%	56%	62%	47%	53%	56%	STEADY / UNREMARKABLE	Uniform 47–62% across the stack. The defensive bid is NOT being paid for — consistent with F&G at Neutral and a market not hedging.
Energy (XLE)	76%	62%	33%	29%	52%	90%	STRONGEST 5D	- The best 5D on the board (76%) and the best 200D (90%) — wrapped around a collapsed mid-stack (50D 33%, 100D 29%). The ceasefire collapse re-armed the sector in days. - The mid-stack hole is the June oil crash still working through; the 5D says it is being repaired fast.
Financials (XLF)	58%	91%	90%	91%	74%	70%	STRONGEST STRUCTURE	The most uniformly strong sector on the board — 90–91% across 20D/50D/100D. And the five money-centre banks all report Tuesday. This is the sector with the most structural support and the most single-day event risk.
Health Care (XLV)	47%	90%	92%	68%	64%	58%	STRONG, COOLING	The best 50D on the board (92%) with the 20D at 90% — but the 5D has fallen below half (47%). A strong intermediate trend taking a breather, not breaking.
Industrials (XLI)	57%	57%	73%	70%	70%	73%	SOLID, UNIFORM	The most consistent deep stack on the board (70–73% from 50D out to 200D). Nothing wrong here — and nothing exciting.
Information Technology (XLK)	64%	55%	51%	72%	68%	68%	RE-ACCELERATING	5D (64%) > 20D (55%) > 50D (51%) — a textbook short-term re-acceleration. This is the chip de-rate reversing and the NDX daily repair, expressed in breadth.
Materials (XLB)	42%	31%	58%	62%	62%	65%	WEAKEST 20D	The worst 20D on the board (31%). The metals sell-off (gold -1.31%, silver -4.03% W) has been eating this sector for a month. Deep base still intact at 62–65%.
Real Estate (XLRE)	26%	39%	58%	74%	74%	74%	WEAKEST 5D	The worst 5D on the board (26%) against the joint-best deep stack (74% at 100/150/200D). The purest expression of the 4.50% break in the whole report: a sector whose long-term case is intact and whose near-term driver has turned hostile.
Communication Services (XLC)	43%	52%	35%	39%	39%	43%	WEAKEST OVERALL	The weakest sector on the board at every horizon beyond 20D (35–43% from 50D to 200D). Corroborated by the 20-sector table, where Communications was the worst performer of the week (~5.66%). Structural, not tactical, damage.
Utilities (XLU)	42%	71%	87%	55%	77%	81%	DEEP BASE, RATE-HIT	A very strong 50D (87%) and 200D (81%) with the 5D down to 42% — the second rate-sensitive being hit by the 10Y through 4.50%, but from a far stronger base than Real Estate.

7.2 Sector Performance — All 20 Sectors (TradingView, 10 Jul 2026 close; ranked by 1-week)

RK	Sector	1D	1-WK	1M	3M	6M	YTD	1Y	Signal	Interpretation
1	Energy Minerals	+0.69%	+4.32%	-5.43%	-6.61%	+23.02%	+25.40%	+28.98%	LEADER	Top of the board on a 1W basis while still negative on 1M and 3M — a sharp reversal off a broken trend, not a continuation. The move is days old.
2	Commercial Services	+0.02%	+1.95%	+6.71%	+8.47%	-9.83%	-6.73%	-5.63%	STRONG	Positive across 1W/1M/3M — one of only a handful with genuine multi-horizon momentum. The 6M (-9.83%) is the caveat.
3	Retail Trade	+0.31%	+1.92%	+0.24%	-0.59%	-1.86%	+2.50%	+9.31%	BOUNDING	Firm 1W off a flat 1M and a slightly negative 3M — a bounce within a range. Retail sales land Thursday.
4	Electronic Technology	+0.57%	+1.82%	+5.38%	+33.22%	+55.50%	+59.05%	+167.11%	THE ENGINE	The only sector strong at every horizon: +1.82% 1W, +5.38% 1M, +33.22% 3M, +59.05% YTD. This is the AI/semi complex — the chip de-rate that dragged W28 is fully reversed, and this single sector is carrying the NDX and the index.
5	Utilities	+0.69%	+0.96%	+2.82%	-3.99%	+7.23%	+7.28%	+14.99%	HOLDING	Positive on the week despite the 10Y breaking 4.50% — more resilient than Real Estate to the same shock.
6	Transportation	+0.27%	+0.84%	+6.02%	+12.41%	+14.32%	+18.09%	+25.30%	FIRM	Green across every horizon — and this is the sector that just absorbed a +6.29% Brent move. Fuel-coal pressure has not yet bitten.
7	Distribution Services	+1.16%	+0.75%	+3.62%	+3.36%	+12.28%	+15.03%	+18.76%	STEADY	Best single-day gain on the board (+1.16%) into a positive multi-horizon trend.
8	Industrial Services	-0.30%	+0.73%	-0.83%	+1.48%	+23.91%	+26.38%	+39.67%	MIXED	Positive week, negative month — the oil-services read; tracks the energy re-arm with a lag.
9	Technology Services	-0.12%	+0.60%	+0.58%	+13.41%	+14.9%	+2.56%	+42.35%	SOFTER THAN HARDWARE	Up on the week but materially behind Electronic Technology (+1.82%) at every horizon. Within tech, the bid is going to hardware/semis, not software.
10	Finance	+0.49%	+0.49%	+6.17%	+9.55%	+6.04%	+8.00%	+20.40%	STRONG BASE, FLAT WEEK	Barely positive on the week (+0.49%) despite the best breadth structure on the board (XLF 90–91% at 20/50/100D). The sector is coiled into Tuesday's five bank prints.
11	Health Technology	-1.17%	-0.04%	+6.83%	+6.72%	+6.85%	+9.78%	+42.70%	PAUSING	Flat on the week off a strong month — and the worst single day on the board bar Communications (-1.17% Fri). Matches the XLV 5D dropping to 47%.
12	Health Services	-0.94%	-0.32%	+5.24%	+30.24%	+18.35%	+24.80%	+37.16%	PAUSING	A slightly negative week inside a very strong 3M (+30.24%). Consolidation, not damage.
13	Consumer Services	+0.17%	-0.58%	+2.09%	+2.42%	-0.66%	+2.14%	+6.42%	SOFTENING	Negative week off a positive month — the first consumer-facing sector to roll.
14	Miscellaneous	+0.17%	-0.80%	+0.12%	+1.49%	+5.10%	+8.08%	+20.23%	DRIFTING	Flat-to-negative across the shorter horizons.
15	Consumer Non-Durables	+0.74%	-0.81%	+0.65%	+3.90%	+8.72%	+8.49%	+5.32%	SOFTENING	Down on the week in the same week PepsiCo opened earnings season — the staples-consumer read is not being bought.
16	Process Industries	+1.04%	-0.95%	+1.85%	-0.81%	+10.90%	+16.23%	+11.24%	CHOPPY	A strong Friday inside a negative week — no directional conviction.
17	Non-Energy Minerals	+0.84%	-1.47%	-2.16%	-8.67%	+4.17%	+9.22%	+51.31%	DETERIORATING	Negative at 1W, 1M and 3M — the metals complex bleeding out. Directly corroborates gold -1.31% / silver -4.03% and the XLB 20D at 31%.
18	Consumer Durables	+0.54%	-3.48%	+2.82%	+10.60%	-7.33%	-8.76%	+24.06%	SHARP REVERSAL	A -3.48% week off a positive month and quarter — the big-ticket consumer is the first thing that breaks when the 10Y goes through 4.50%. Watch this against Thursday's retail sales.
19	Producer Manufacturing	+0.94%	-4.73%	+6.00%	+14.35%	+43.23%	+50.85%	+102.62%	VIOLENT UNWIND	-4.73% on the week from a sector up +50.85% YTD. This is a positioning unwind in a crowded winner, not a fundamental break — the same pattern the semis showed in W28.
20	Communications	-2.80%	-5.66%	-3.52%	-5.31%	-1.43%	-1.57%	+1.66%	WORST — BROKEN	Worst on every horizon: -2.80% 1D, -5.66% 1W, -3.52% 1M, -5.31% 3M, -1.57% YTD. Corroborated by XLC carrying the worst breadth on the board (35–43% from 50D out). This is structural damage, not a dip.

SECTOR ROTATION — The Two Macro Shocks Wrote the Sector Board Directly: ENERGY Took the Best 5D Breadth (76%) as the Ceasefire Collapsed, REAL ESTATE Took the Worst (26%) as the 10Y Broke 4.50%, and ELECTRONIC TECHNOLOGY Was the Only Sector Strong at Every Horizon — While the Metals Complex and Communications Broke Down

- The sector board is a clean read-out of the two macro events, and it is unusually legible this week.** Energy Minerals took the #1 weekly slot (+4.32%) and Energy holds the board's best 5D breadth (76%) — the ceasefire collapse, priced in days. Real Estate holds the board's WORST 5D breadth (26%) against the joint-best deep stack (74% at 100/150/200D) — the 4.50% break, priced in days. When two sectors at opposite ends of the table are both explained by the same week's headlines, the rotation is macro-driven, not idiosyncratic — and that means it reverses on the next headline, not on the next earnings print.
- Electronic Technology is doing the index's work almost single-handed.** It is the **only sector positive and strong at every horizon** — +1.82% 1W, +5.38% 1M, +33.22% 3M, +59.05% YTD — and XLK breadth is re-accelerating in the textbook pattern (5D 64% > 20D 55% > 50D 51%). Note the split *within* tech: Technology Services managed only +0.60% on the week. The bid is going to hardware and semis, not software. This single sector is the mechanism behind the NDX's +1.69%, the daily repair, and the entire narrowing story in Sec 04.
- The metals complex broke down across every instrument that measures it.** Non-Energy Minerals is negative at 1W (-1.47%), 1M (-2.16%) and 3M (-8.67%); XLB carries the worst 20D breadth on the board (31%); and spot gold (-1.31%) and silver (-4.03%) both fell in a week containing a war restart. Three independent measurements, one conclusion: **the hawkish rate path is beating the geopolitical bid**, and it is doing so decisively. Hold the GLD/SLV core on the structural thesis; do not add into this mechanism.
- Two crowded winners had violent unwinds — and neither is a fundamental break.** Producer Manufacturing fell -4.73% on the week while still up +50.85% YTD; Consumer Durables fell -3.48% while up +10.60% on 3M. This is the same signature the semis printed in W28 (SOX -6.7% off a doubling): positioning unwinds in extended winners, not thesis failures. The relevant lesson from W28 is that the semi unwind reversed within a week. Do not chase these down; do not assume they are finished either.
- The genuinely damaged sector is Communications — and Financials are the coiled spring.** Communications is worst on every horizon (-5.66% 1W, -3.52% 1M, -5.31% 3M) with XLC breadth at 35–43% from the 50D out — structural damage, not a dip; avoid. At the other end, Financials carry the most uniformly strong breadth structure on the board (XLF 90–91% across 20D/50D/100D) but managed only +0.49% on the week — the sector is coiled directly into **five money-centre bank prints on Tuesday morning**, alongside CPI and Warsh. That is the highest concentration of single-day event risk anywhere in this report (Sec 08).

8.1 Key Catalysts & Risks This Week (13 Jul – 17 Jul 2026)

MON 13 JUL OPEN — WEEKEND SIGNAL SWEEP (drivers into the W29 cash open):			
The setup: a narrowing, AI-led advance against two re-armed macro anchors. SPX +1.23% and NDX +1.69% closed green while DIA (−0.50%) and the Russell (−0.61%) closed red — and the Dow made a new intraday ATH (53,289.30, Tue 7) and gave it back. Underneath: the Iran ceasefire COLLAPSED (Brent +6.29% to \$76.01), the hawkish FOMC minutes broke the 10Y through 4.50% (4.561%) and the 30Y through 5% (5.059%), 5-day breadth swung +863 → −79, and the weekly Stoch rolled K<D on ALL FOUR indices. The market enters W29 CAUTIOUS-CONSTRUCTIVE (down from W28's Constructive). F&G recovered to 49 (Neutral); VIX fell to 15.03. TUESDAY 14 JUL IS A THREE-WAY COLLISION — and it is the whole week. June CPI + Core CPI (8:30 ET); Fed Chair Kevin Warsh's FIRST congressional testimony since being sworn in on 22 May (10:00 ET, House Financial Services); and JPMorgan, Citigroup, Goldman Sachs, Wells Fargo and Bank of America all report BMO. Three independent, market-moving inputs inside four hours, into a tape with VIX at 15.03 and \$SPX IV Rank at the 23rd percentile. The CPI trap: consensus (Barclays ~3.8% y/y from 4.2%; ~−0.18% m/m) is built on a ~10% June retail-gasoline decline caused by the mid-June peace deal that has since collapsed. June CPI will print the disinflation of a world that no longer exists. A soft number is a real number — and a backward-looking one, with Brent already +6.29% off the lows of the story that produced it. IRAN — THE MONDAY DRIVER, AND IT CUTS BOTH WAYS. The ceasefire is over; Iran struck three commercial vessels in the Strait, CENTCOM hit ~90 Iranian military targets, Trump declared the framework dead, and ~6,000 seafarers are trapped around the Strait. But two facts argue against a Monday gap down. (1) Oil and gas production and export infrastructure remain largely unaffected — the strikes have targeted military assets and the disruption is to <i>shipping</i>, not <i>supply</i>. (2) Trump said the day after the strikes that the exchange of fire "would not lead to long-term military action" — an explicit de-escalation signal. The market has already begun to believe it: Brent settled \$78.19 on Wed 8 and closed the week at \$76.01, and equities rose Thu and Fri through continuing strikes. The single most important thing for Monday's open is which of these two readings the weekend headline flow validates — a de-escalation confirmation deflates the ~\$4–6 risk premium and is risk-on; an attack on actual energy infrastructure, or Hormuz closure, is the Tail. This is a headline-driven premium with no calendar. Do not be short volatility into it.			
DAY	EVENT / DATA	IMPACT	MARKET SIGNIFICANCE
Mon 13 Jul	Monthly Federal Budget (Jun, 2:00 ET). No Tier-1 data. Normal open.	WATCH	A quiet session by design — the tape positions into Tuesday. Watch the weekend Iran headline flow, which is the only thing that can move Monday, and whether the Friday breadth split (NASDAQ 53% of issues down on an up day) repeats.
Tue 14 Jul	JUNE CPI + CORE CPI (8:30 ET) — headline est. ~3.8% y/y (Barclays), from 4.2% in May; ~−0.18% m/m, driven by a ~10% drop in retail gasoline. Core est. ~+0.26% m/m (accelerating ~5bp). FED CHAIR KEVIN WARSH — FIRST CONGRESSIONAL TESTIMONY (10:00 ET, House Financial Services) since being sworn in 22 May. - NFIB Small Business Optimism (Jun, 6:00 ET). + JPM / C / GS / WFC / BAC all report BMO (see 8.2).	EXTREME	THE WEEK, IN FOUR HOURS. Three uncorrelated inputs land together into a de-hedged tape (VIX 15.03, \$SPX IVR 23rd octl). CPI: a soft print is real but backward-looking — it measures the gasoline decline caused by the peace deal that has since collapsed. A HOT print (or a hot core, which is what Barclays actually forecasts) into 9-of-18 hike dots pushes the 10Y further above 4.50% and the front-end hike tilt wider than +10.4bp. Warsh: a brand-new Chair's first testimony is the single highest-variance Fed communication event available — there is no track record to anchor on, and Congress will press him on the energy shock and the AI boom. Banks: five money-centres reporting the same morning, in the sector with the board's best breadth structure (XLF 90–91%) and only +0.49% on the week.
Wed 15 Jul	PPI + Core PPI (Jun, 8:30 ET) + Empire State Manufacturing (Jul, 8:30). NY Fed's John Williams speaks (8:45). Fed Beige Book (2:00 ET) . St. Louis Fed's Musalem (6:30 pm). Warsh — Senate Banking Committee	HIGH	- The inflation confirmation leg. PPI reads the pipeline that CPI reads at the till — and with Brent +6.29% the pipeline is where the ceasefire collapse will show up FIRST. The Beige Book gives the regional read on whether the energy shock is already being passed through. - Warsh's second day is where the follow-up questions live; first-day testimony is scripted, second-day is not.
Thu 16 Jul	RETAIL SALES (Jun, 8:30 ET) + weekly jobless claims (wk ending 12 Jul) + Philadelphia Fed Manufacturing (Jul, 8:30). Pending home sales (Jun, 10:00); business inventories (May, 10:00). Dallas Fed's Logan (12:30). Fed Vice Chair Jefferson (7:00 pm).	HIGH	- The consumer test, and it lands with an edge this week: Consumer Durables just fell ~3.48% and Consumer Services ~0.58% (Sec 07) — the big-ticket, rate-sensitive consumer is already rolling with the 10Y through 4.50%. - A soft retail-sales print confirms that the rate move is reaching the household. Claims frame the labour trend after June's cool +57K payroll.
Fri 17 Jul	University of Michigan Consumer Sentiment (Jul preliminary, 10:00 ET) — the first July read. Housing starts + building permits (Jun, 8:30); import price index (Jun, 8:30); industrial production + capacity utilisation (Jun, 9:15). NAHB builder confidence (Jul, 10:00).	WATCH	- The first sentiment reading that will contain <i>both</i> the ceasefire collapse and the hawkish minutes — the inflation-expectations component is the one to read, not the headline. - Housing starts + NAHB give the rate-sensitive real-economy read with the 30Y above 5%; a weak pair corroborates the Real Estate breadth collapse (SD 26%, Sec 07).

8.2 Earnings Season — Key Reports This Week (13 Jul – 17 Jul 2026)

DATE	COMPANY	ESTIMATES	WHY IT MATTERS	PRE-SET TRIGGER
Mon 13 Jul	No noteworthy earnings. (Fastenal reports Tue 14 per the FMP calendar — not Monday.)	—	An industrial-distribution bellwether and a clean read on real-economy demand — but a minor print. Monday is a positioning day, not an information day.	No pre-set trigger. Watch the weekend Iran headline flow, which is the only thing that can move Monday.
Tue 14 Jul	THE FIVE MONEY-CENTRES, ALL BMO: JPMorgan (JPM), Goldman Sachs (GS), Citigroup (C), Bank of America (BAC), Wells Fargo (WFC). Also Ericsson (ERIC) and Fastenal (FAST), BMO.	JPM \$5.59 (rev \$51.1B) GS \$14.47 (rev \$16.2B) C \$2.72 (rev \$23.7B) BAC \$1.13 (rev \$30.8B) WFC \$1.73 (rev \$21.9B) Also Fastenal \$0.33, Ericsson \$0.13	The five money-centres report on the SAME MORNING as June CPI and Warsh's first testimony. Financials carry the most uniformly strong breadth on the board (XLF 90–91% across 20D/50D/100D) yet gained only +0.49% on the week — a coiled sector. Banks are also the cleanest live read on the one thing this report cannot verify from price: credit quality. - HY OAS at ~270bp says no stress; the F&G Junk Bond Demand component says Fear (Sec 9.4). The loan-loss provisions and the commentary on private-credit exposure will adjudicate that, and no other input this week can.	Watch provisions and credit commentary, not EPS. Clean provisions + benign private-credit remarks = the Sec 9.4 second-wave thesis stays unpriced-and-unrealised; the credit divergence resolves toward the spread, not the sentiment component. Rising provisions or any explicit private-credit markdown language = the equity question stops being CPI and becomes credit — the Tail scenario's transmission leg engages. - A beat-and-rally into strong XLF breadth would confirm the financials leadership; a sell-the-news on good numbers tells you positioning was already full.
Wed 15 Jul	ASML (BMO) — the AI-capex read, and arguably the most thesis-relevant print of the week. Plus the second bank leg: Morgan Stanley (MS), BlackRock (BLK), BNY Mellon (BNY), PNC, M&T (MTB), First Horizon (FHN), Healthcare: Johnson & Johnson (JNJ), Elevance (ELV). Also Progressive (PGR), Cintas (CTAS), Conagra (CAG). AMC: United Airlines (UAL), J.B. Hunt (JBHT).	ASML \$7.92 (rev \$10.26B) BLK \$12.53 / MS \$2.93 JNJ \$2.86 / PNC \$4.46 BNY \$2.23 / ELV \$6.21 PGR \$4.73 / MTB \$4.66 UAL \$1.87 / JBHT \$1.72	ASML is the single best test of the W29 thesis. Electronic Technology (+59.05% YTD) is carrying the entire index (Sec 7.2), and ASML sells the machines that make the capex real. Susquehanna flags it as a top pick, citing customers "paying premiums to secure allocation" and backlog visibility beyond 12 months. BlackRock is the private-credit read — BlackRock/HLEND/HPS is one of the six tracked institutions (Sec 9.4), restricted post-gate after \$12B of Q1 requests (9.3% of NAV). - UAL lands with Brent +6.29% — the fuel-cost test. JBHT reads freight into Transportation (+0.84% W).	ASML: backlog and 2027–28 commentary is the AI-cyle tell. A strong backlog validates the one leadership group holding the index up; any order softness removes the last thing working, with breadth already at ~79 and no second group to catch it (Sec 9.2). BLK: any HLEND redemption or private-credit markdown language is a direct, sourced update to the Sec 9.4 carry-forward — the first hard data in weeks. - UAL: a fuel-cost guide-down confirms the oil re-arm is reaching earnings, not just the tape.
Thu 16 Jul	NETFLIX (NFLX) — AMC. Also TSMC Q2 call (16 Jul, Taipei time) — the other half of the AI-capex read. AMC: Alcoa (AA), Cohen & Steers (CNS), BMO: Simply Good Foods (SMPL).	NFLX \$0.79 (rev \$12.58B) TSMC / AA: not verified on the FMP calendar	Netflix is a direct read on the ONE genuinely broken sector on the board. Communications is worst at every horizon (~5.66% 1W, ~3.52% 1M, ~5.31% 3M) with XLC breadth at 35–43% from the 50D out (Sec 7.1/7.2) — structural damage, not a dip. NFLX is the sector's largest liquid name. - Bernstein cut its target \$110 → \$100 (retains Overweight), flagging Q2 engagement drag from World Cup competition and possible 2026 margin-guide revisions. TSMC + ASML together are the AI-capex verdict — the two prints that matter most to the index's only working leadership group.	NFLX: a guide out confirms Communications is structurally damaged, not oversold — keep avoiding the sector. A beat with firm engagement would be the first evidence the worst sector on the board has found a floor. TSMC/ASML both strong = the AI leadership is fundamentally underwritten and the narrowing can resolve upward (Sec 8.3, Bull-Full scenario). Either one soft = the concentration risk in Sec 9.2 becomes live.
Fri 17 Jul	Financials/insurers BMO: Travelers (TRV) , Fifth Third (FITB), Regions Financial (RF), AutoViv (ALV). No Tier-1 tech or mega-cap print.	TRV \$5.15 / FITB \$0.84 RF \$0.63 / ALV \$2.43	The regional-bank and insurer tail of the financials cycle. Regionals (FITB, RF) are the credit-quality read <i>outside</i> the money-centres — a useful cross-check on Tuesday's provisions, since stress usually shows in the regionals first. The macro calendar (UMich prelim, housing starts) carries this session.	Regional-bank provisions diverging from the money-centres would be the first genuine credit-stress signal in this series — it would corroborate the F&G Junk Bond Demand "Fear" reading against the ~270bp spread (Sec 9.4). Clean regionals close the credit question for the week.

Source: FMP earnings calendar — consensus EPS and revenue, as at 12 Jul 2026.

8.3 Scenario & Risk Matrix

SCENARIO	TRIGGER	SPX TARGET	POSITIONING
BULL — FULL	Benign June CPI (headline ~3.8% AND a soft core) + a measured, non-hawkish Warsh + clean bank prints with benign provisions. The 10Y falls back below 4.50% and the 1Y–6M hike tilt compresses from +10.4bp. Breadth REPAIRS: the 5-day H/L line turns back positive from ~79 and the Dow's 5D participation recovers from 50%. - Weekly Stoch K recrosses above D on SPX/NDX and the NDX weekly histogram recrosses positive from ~15.89.	7,620–7,700	- The bull case requires the momentum and breadth to come back, not just the events to clear. Redeploy on the breadth repair (the 5-day H/L line turning positive), NOT on the CPI headline. - Lead with the confirmed leaders: Electronic Technology / XLK and Financials on a clean bank print. New highs are available — but only from a tape that has stopped narrowing.
BULL — PARTIAL	- Events clear without damage — CPI in line, Warsh unremarkable, banks fine — but the internals do NOT repair: breadth stays negative, the four-of-four weekly Stoch rollover persists, and the advance stays carried by mega-cap AI. - The 10Y holds 4.50–4.60%.	7,575–7,650	The most likely path if nothing breaks — and the most dangerous to chase. Hold core; do not add. An index grinding higher on a ~79 breadth line and a four-of-four weekly rollover is the definition of a narrowing top-building process, not a trend. - Let the convexity run (Sec 9.5); take no new beta.
BASE	- Mixed outcomes: a soft headline CPI with a firm core (Barclays' actual forecast), a cautious Warsh, mixed banks. Oil stays elevated on unresolved Hormuz. - The tape ranges between the SPX daily cluster (7,461–7,486) and the ATH (7,620.90), chopping on headlines, with the 10Y sticky above 4.50%.	7,461–7,620	- Hold core. The per-index tripwires do the work: above — the NDX holding its 29,598–29,700 band and the SPX cluster; below — the weekly SMA10s (SPX 7,458.94 / NDX 29,544.73 / IWM 290.09 / DIA 511.81). - Do not pre-emptively trim while the weekly cascades hold. Do not add while breadth is negative.
BEAR	A hot June CPI or a hot core into 9-of-18 hike dots, and/or a hawkish Warsh debut. The 10Y pushes toward 4.75%; the 1Y–6M tilt widens beyond +10.4bp; the 30Y extends above 5%. SPX loses the daily cluster (7,461–7,486); the NDX loses its compressed band (29,598–29,700) and fails its repair; IWM breaks 290.51/298.62. - Rate-sensitives (XLRE 5D 26%) lead down.	7,300–7,461	- Reduce beta on the index that <i>breaks</i> — on the break, not before, and not on the headline. The weekly SMA10s are the reduction lines. IWM is the most fragile (daily ADX 9.96: a break extends with no trend resistance) and should be the first thing out. - Financials/health are the relative shelter unless the banks are the problem. Do NOT buy the rate-sensitive dip while the 10Y is above 4.50%.
TAIL	- Bear conditions PLUS one of: a genuine Hormuz supply disruption (production or export infrastructure actually hit — so far it has not been) sending Brent through \$100; a hot CPI AND a hawkish Warsh together, forcing an explicit 2026 hike into the curve; a private-credit event surfacing in Tuesday's bank provisions with HY spreads +40–60bp from ~270bp; or the AI complex — which is currently carrying the entire index — de-rating hard (Electronic Tech is +59.05% YTD and holds up the whole tape). - VIX > 28–25.	Below 7,300	- Full defensive: raise cash materially. Note the W29-specific twist — gold is NOT the reliable hedge it was: it fell ~1.31% in a week with a war restart because the rate path overwhelmed the haven bid. In a rates-driven tail, the traditional hedge does not work. - The JHEGX 7,000 long put (~6.40% below spot) is the mechanical downside reference; the 5,990 financing put the deep floor. Exit the narrow AI leadership first — concentration is the vulnerability, and Electronic Tech is where it lives.

- Rally-Fade Pattern Confidence: LOW-TO-MEDIUM.** Deliberately lower than W28's MEDIUM-HIGH, and the reasons are structural rather than directional. **(a)** The event load is exceptional and concentrated: three uncorrelated, market-moving inputs (CPI, a brand-new Fed Chair's first testimony, five money-centre banks) inside four hours on Tuesday morning — a new Chair has no track record to calibrate against, which alone widens the distribution.
- (b)** The technical picture is genuinely split rather than merely mixed: TGPS reads constructive on all four indices while classical momentum has withdrawn confirmation on all four in the same week. That is not a "lean"; it is two systems disagreeing. **(c)** The dominant risk is now headline-driven (Hormuz), and headline risk does not respect a calendar or a pattern.
- (d)** The one thing arguing for higher confidence — that the index has held every structural level — is exactly what a narrowing tape looks like just before it stops holding them. Qualitative read, not a probability.

TIERED IRAN PLAYBOOK — W29: THE CEASEFIRE COLLAPSED. The 17 Jun Framework is OVER — Renewed US–Iran Military Exchanges, Hormuz Shipping Significantly Disrupted, Brent +6.29% W to \$76.01. W28's "TIER 1 SATISFIED — HOLDING" is DEAD. Tier 2 Conditions Are Now PARTIALLY MET.			
TIER	CONDITIONS	STATUS	ACTION IF MET
TIER 1 De-escalation	- VIX below 22 — MET (15.03) Diplomatic engagement holding — FAILED (ceasefire declared over; strikes threatened; exchanges resumed) - Oil below \$100 — MET (Brent \$76.01) Final deal signed — DEAD (the 60-day window collapsed before its deadline)	BROKEN	The de-escalation thesis has failed and every action premised on it is restated here. The XLE underweight was justified by "the tail is largely removed." That justification no longer exists — and the position is NOT being carried by inertia. DECISION: HOLD the underweight on replaced grounds — (1) the sector remains structurally damaged (Energy 50D 33% / 100D 29%; the 76% 5D is a days-old reflex on that hole), and (2) the +6.29% is a <i>shipping-risk premium</i>, not a <i>supply repricing</i>: infrastructure is untouched and Brent gave back ~\$2 from its \$78.19 Wed peak <i>while the strikes continued</i>. - Do not chase the move. REVERSAL TRIGGER — non-discretionary: a strike on energy production/export infrastructure, an actual Hormuz closure, or Brent through \$100 → close the underweight ON THE PRINT, not at the next review. The QLD hedge, meanwhile, did NOT work this week (~1.31% in a war week) — the rate path overwhelmed it, so a supply-shock scenario currently has no working offset in the book.
TIER 2 War Re-Engagement	- Iran–Israel/US direct exchange — MET (renewed military exchanges) Hormuz disruption — MET (shipping significantly disrupted; ~20% of world oil & gas trade) Brent > \$115 / WTI > \$100 — NOT MET (\$76.01 → \$71.4) - VIX > 28 — NOT MET (15.03) Oil-shock pass-through — RE-ARMING (+6.29% W, but still ~19.99% on the month)	PARTIALLY MET — ACTIVE	Tier 2 is no longer dormant — it is live and partially triggered. Military and chokepoint conditions MET (three commercial vessels attacked; ~90 Iranian military targets struck by CENTCOM; ~6,000 seafarers trapped); price conditions NOT met. The distinction that governs everything: production and export infrastructure remain largely unaffected. This is a <i>risk premium on shipping</i>, not a <i>supply shock on barrels</i> — which is why Brent peaked at \$78.19 on Wed 8 and had already given back ~\$2 by Friday <i>while the strikes continued</i>, and why equities rose Thu and Fri. De-escalation signal to weigh: Trump stated the day after the strikes that the exchange "would not lead to long-term military action." The escalation line that matters is therefore NOT more strikes — it is a hit on energy infrastructure or an actual Hormuz closure. That converts a premium into a shock and engages the Tail directly (Brent through \$100). Actions: do not chase the energy re-arm at these levels; do not sell volatility into an open-ended geopolitical event with no calendar; and understand that in this rates-driven tape gold is NOT functioning as the offset (~1.31% in a war week).

POSITIVE CATALYSTS — Upside Risks the Market Could Rally On (W29)

- The June CPI print is genuinely likely to be soft — and the market may not care that it is backward-looking.** Barclays forecasts headline ~3.8% y/y (from 4.2%) on a ~10% gasoline decline. A cool headline into a tape that has just been told the Fed wants to hike would squeeze the rate fear directly out of the 10Y — and the fact that the disinflation came from a now-dead peace deal is a subtlety markets frequently ignore for a week or two. The bearish case here is intellectually right and can still lose money short-term.
- Warsh's first testimony is high-variance in BOTH directions.** A new Chair with no track record cuts both ways: a measured, patient, data-dependent debut against a market braced for hawkishness would be a substantial dovish surprise — and would come with the 10Y already at 4.561% and the front end pricing a hike, i.e. plenty of room to unwind.
- Financials are coiled: the best breadth structure on the board (XLF 90–91% at 20/50/100D) and only +0.49% on the week, into five bank prints.** Clean provisions and benign private-credit commentary would simultaneously resolve the standing credit divergence (Sec 9.4) AND release a sector that is structurally strong and tactically flat. That is the single most plausible route to a broad-tape rally that fixes the breadth problem rather than papering over it.
- The AI complex is re-accelerating, and it is the only thing on the board strong at every horizon.** Electronic Technology: +1.82% 1W, +5.38% 1M, +33.22% 3M, +59.05% YTD, with XLK breadth re-accelerating (5D 64% > 20D 55% > 50D 51%). The W28 chip de-rate proved to be profit-taking, not a cycle top. If that leadership broadens even slightly — into Technology Services, which managed only +0.60% — the narrowing problem resolves itself upward.

9.1 BOTTOM LINE — The ONE Thing That Matters for the Next 5 Trading Days: Whether TUESDAY 14 JUL (June CPI + Warsh's First Testimony + Five Money-Centre Banks, All Before Noon) Repairs the Internals or Confirms Them — Because the Index is Near Its Highs on the NARROWEST Participation of the Quarter, With the 10Y Through 4.50%, the 30Y Through 5%, Oil Re-Armed on a Collapsed Ceasefire, and the Weekly Oscillator Rolled on ALL FOUR Indices.

- **The thesis:** price went up and everything that is supposed to confirm it went down. SPX +1.23% and NDX +1.69% closed green — a genuine repair, with the NDX reclaiming its daily SMA40 and crossing its daily MACD positive — but DIA (−0.50%) and the Russell (−0.61%) closed red, the Dow gave back a brand-new intraday ATH (53,289.30) inside two sessions, **5-day new-high/low breadth collapsed from +863 to −79**, the Dow's 5D participation fell 83% → 50%, and the **weekly Stoch RSI rolled K-cD on all four indices for the first time** — with NDX's weekly MACD histogram crossing negative on *its best week of the quarter*.
- Meanwhile both macro anchors turned: the Iran ceasefire collapsed (Brent +6.29%, Hormuz disrupted) and the hawkish FOMC minutes (9 of 18 dots at a hike) broke the 10Y through the 4.50% ceiling to 4.561% and the 30Y through 5% to 5.059%, re-arming the front-end hike tilt from +0.6bp to +10.4bp. And the crowd responded by *relaxing*: F&G 32 → 49, VIX to 15.03. **Nothing structural has broken** — all four weekly cascades hold, all four TGPS Modes read Bullish with COM above zero, credit is quiet at −270bp OAS.
- This is not a reversal call. It is the withdrawal of confirmation, which is what precedes one. Bias calibrated DOWN to CAUTIOUS-CONSTRUCTIVE. We hold core, own convexity into Tuesday, and refuse to chase the narrowing leaders.

9.1b WHAT CHANGED FROM W28 — Four Carry-Forwards Rewritten

- **The Iran ceasefire COLLAPSED.** W28 read "TIER 1 SATISFIED — HOLDING; the tail is largely removed." The framework is now over — renewed US–Iran exchanges, Hormuz shipping significantly disrupted, Brent +6.29% W to \$76.01. **The XLE underweight's stated rationale is therefore dead. It has been REPLACED, not carried by inertia:** the underweight is held on structural damage (Energy 50D 33% / 100D 29%) and on the +6.29% being a shipping-risk premium rather than a supply repricing — with a non-discretionary reversal trigger (energy infrastructure hit / Hormuz closure / Brent > \$100). See **What We're Doing** below and Sec 08 (Tiered Iran Playbook).
- **The 4.50% ceiling BROKE — exactly as W28 named it.** Hawkish FOMC minutes (9 of 18 project a HIKE by end-2028; easing bias removed) took the 10Y to 4.561%, the 30Y to 5.059% and the 20Y to 5.070%. The whole curve moved up as a block (every tenor 2Y–30Y +7.0 to +8.4bp) — a parallel shift, not a steepener. The front-end hike tilt (1Y–6M) went +0.6bp → +10.4bp. CME FedWatch: ~70% hold at 29 Jul, from ~81%.
- **Leadership inverted and breadth broke.** The Dow/broad-tape repair became a mega-cap AI advance: Electronic Technology (+33.22% 3M) is now the only sector strong at every horizon, while 5-day H/L went +863 → −79 with NASDAQ and Arca both flipping negative. The NDX daily repaired; the NASDAQ Composite rose +1.74% with fewer than half its members above their 5-day MA.
- **Momentum stopped confirming everywhere, and gold stopped hedging.** Four-of-four weekly Stoch rollover (the W28 DIA holdout resolved); NDX weekly MACD histogram negative on a green week; DIA's daily MACD rolled. And gold FELL −1.31% in a week containing a war restart — the rate signal overwhelmed the war signal, which means the traditional hedge is not currently working.

9.1c WHAT WE'RE DOING — THE ACTION NOTE
The report's ONLY action-stance layer. Live weights are operator input.

- **Hold core** while the weekly SMA10s hold — SPX 7,458.94 / NDX 29,544.73 / IWM 290.09 / DIA 511.81. Reduce the index that loses its line, on the *break, not before*.
- **Add nothing before Tuesday's close.** Three uncorrelated market-moving events (June CPI + Warsh's first testimony + five money-centre banks) land inside four hours.
- **Own convexity, not direction** — and buy it where the market forgot to reprice it: **\$SPX (IVR 23rd pct)** and **\$DJX (0.00%, 7th week). NOT \$VIX**, which has already gone from the 10th to the 96th percentile (Sec 9.5).
- **Do not chase the mega-cap AI bid** into a four-of-four weekly Stoch rollover. Per Murphy's weekly/daily synchronisation rule, a bearish weekly oscillator on all four argues against acting on daily buy signals anywhere — including the NDX daily repair.
- **IWM is the first thing to cut on a break** — daily ADX 9.96 means a loss of 290.51 / 288.62 extends with no trend resistance.
- **Hold GLD/SLV core; do NOT add.** A hiking Fed and a 5% 30Y are the marginal driver — and gold fell −1.31% in a week with a war restart, so the hedge is not currently hedging (Sec 6.1).
- **HOLD the XLE underweight — on NEW grounds, not the dead one.** The removed-tail thesis died with the ceasefire. It now rests on: **(a)** structural damage — Energy 50D 33% / 100D 29%, so the 76% 5D is a days-old reflex sitting on a hole; **(b)** the +6.29% being a *shipping-risk premium, not a supply repricing* — Brent gave back −\$2 from its \$78.19 Wednesday peak *while the strikes continued*.
- **XLE reversal trigger — non-discretionary:** any strike on energy production/export infrastructure, an actual Hormuz closure, or Brent through \$100 → **close the underweight ON THE PRINT**, not at the next review.
- **Read Tuesday's bank provisions as the credit adjudication**, not the earnings event. HY OAS −270bp says no stress; the F&G Junk Bond Demand component says otherwise. The provisions settle it (Sec 9.4).

9.2 WHAT WOULD MAKE US WRONG — Counter-Thesis (Mandatory)

- **LOW** **The narrowing simply resolves upward — we were too cautious.** The most likely way this stance is wrong. A soft CPI, a measured Warsh debut and clean bank prints clear all three events at once; the de-hedged tape (VIX 15.03, F&G 49) squeezes to new highs led by an AI complex that is genuinely re-accelerating; breadth repairs *after* price, as it often does. We hold core and own convexity, so we participate — but "add nothing before Tuesday's close" under-deploys into the very squeeze the cheap-vol setup was built for. **Wrong by omission — the error this framework makes most often.** *Price action: SPX takes 7,620.90 and runs to 7,700; the 5-day H/L line flips positive within days.*
- **HIGH** **A HOT June CPI — or just a hot CORE.** Barclays actually forecasts a soft headline with an *accelerating* core (−+0.26% m/m, up −5bp), and the market is positioned for the headline. A firm core into a Fed whose minutes show 9 of 18 wanting a hike takes the 10Y from 4.561% toward 4.75%, widens the 1Y–6M tilt beyond +10.4bp, and compresses multiples — with the 30Y already above 5% and no forward-guidance cushion. *Price action: SPX loses the 7,461–7,486 cluster to the 7,300–7,461 Bear band; rate-sensitives (XLE RE 5D 26%) lead down.*
- **HIGH** **Warsh's first testimony is the highest-variance Fed event available — and we have no track record to calibrate against.** A brand-new Chair, sworn in 22 May, facing Congress for the first time in the same session as CPI, with a committee split 9–8–1 behind him and an energy shock and an AI boom to answer for. Every prior Chair could be read against years of prior statements. Warsh cannot. **That alone widens Tuesday's distribution in a way no model here captures.** *Price action: an outsized two-way move on the testimony; a hawkish debut compounds the CPI risk and drives the 10Y through 4.75%.*
- **HIGH** **The AI concentration IS the risk — and it is the thing holding the index up.** Electronic Technology is single-handedly carrying the NDX, the SPX and the entire "nothing has broken" claim — and it fell −6.7% (SOX) as recently as 1 Jul. If it de-rates there is nothing underneath: NASDAQ Composite 5D participation 49%, the Dow's 50%, small-caps on a second red week. **The narrowing this report treats as a warning is also, mechanically, a single point of failure** — and positioning shows asset managers and leveraged funds both crowded in during the week it led (Sec 3.4). *Price action: NDX loses 29,598–29,700, the daily repair fails, and with breadth at −79 there is no second group to catch it.*
- **MEDIUM** **Tuesday's bank provisions reveal the credit problem the spreads are not showing.** This report resolves the credit divergence *in favour of the spread* — HY OAS −270bp and HYG flat means the F&G Junk Bond Demand "Fear" reading is treated as noise. Five money-centres report Tue 14 and BlackRock (a tracked private-credit institution, restricted post-gate) Wed 15. **If provisions rise or private-credit markdown language appears, the divergence resolves the other way** — and the equity question stops being CPI and becomes credit, with the market positioned for the former. *Price action: HY +40–60bp from −270bp; Tail transmission engages; financials and small-caps lead down; VIX > 22.*
- **MEDIUM** **Hormuz becomes a genuine supply disruption — and gold does not save us.** The report reads this as a premium that can vanish on a headline. It can equally double on one. A real supply hit (Brent through \$100) re-arms the energy-inflation tail into a Fed already leaning hawkish — the worst combination, because it removes the disinflation the market is counting on to prevent the hike. **And the W29 twist: gold FELL −1.31% in a week with a war restart**, so the hedge that is supposed to pay for this scenario has just demonstrated it will not. *Price action: oil gaps up; the 30Y well above 5%; SPX gaps below 7,300 with no working hedge but the JHEQX 7,090 put and the vol SEC 9.5 told you to own.*

9.3 DIRECTIONAL BIAS: CAUTIOUS-CONSTRUCTIVE
CAUTIOUS-CONSTRUCTIVE — calibrated DOWN from W28's CONSTRUCTIVE.

- The downgrade rests on a divergence, not a breakdown. **Structure still supports the bulls:** all four weekly SMA cascades are intact and rising with price above the weekly SMA10 on every index; TGPS reads constructive on every index taken on its own terms — four PW Modes Bullish, COM above zero on all four PW, with a dark-green TIF on DIA's PW rightmost bar; the deep breadth base holds (63–70% above the 100–200D MAs across every index; Above-SMA60 53.6%, Above-SMA200 51.7%); and credit is quiet (HY OAS −270bp, HYG flat on the week).
- **Confirmation has withdrawn everywhere else, and it did so simultaneously:** the weekly Stoch RSI rolled K-cD on *all four* indices (SPX 65/71, NDX 55/66, IWM 84/90 off extreme OB, DIA 97/99 off its 100/100 pin — the W28 holdout resolved); NDX's weekly MACD histogram crossed negative (−15.89) on a +1.69% week; 5-day new-high/low breadth swung +863 → −79; the Dow's 5D participation collapsed 83% → 50%; and the daily ADX is sub-trending on three of four indices, so the oscillators carry the weight — and the oscillators are rolling.
- **Per index (qualitative, per Sec 5.3):** SPX constructive (cleanest continuation, but ADX 15.81 and Stoch 91); NDX constructive-but-unconfirmed (daily repaired, weekly histogram negative); IWM cautious (lost the daily SMA10 AND SMA20; ADX 9.96 — the most fragile setup on the board); DIA neutral (best structure, spent momentum, ATH rejected). Two independent measurement systems — breadth and weekly momentum — reached the same conclusion in the same week the index rose.
- That coincidence is the downgrade.
- **CME Group FedWatch tool:** ~70% HOLD at the 29 Jul FOMC (as of 8 Jul), from ~81% in W28 — a ~11-point widening of the distribution. Critically, **the widening is toward a HIKE, not a cut:** the minutes show 9 of 18 participants projecting at least one hike by end-2026 (8 no change, 1 cut), futures now price the funds rate drifting toward 4% by year-end, and the 1Y–6M spread has re-armed from +0.6bp to +10.4bp.
- This is the first week in this series where the front end is pricing tightening rather than easing risk.
- **Critical Supports (see Sec 5.2):** SPX **7,461–7,486 daily cluster** / 7,458.94 weekly SMA10 | NDX **29,598–29,700 compressed band** / 29,544.73 weekly SMA10 | IWM **290.51 SMA40** / **−288.62 50MA** (the board's most fragile line — below it, ADX 9.96 means no trend resistance) / 290.09 weekly SMA10 | DIA **524.34 SMA10** / **520.45 SMA20** / 511.81 weekly SMA10.
- Reduce the index that loses its weekly SMA10 — on the break, not before.

9.4 UNPRICED RISKS — Second-Order Impacts the Market Hasn't Fully Discounted

- **Private credit second wave — and a correction to how we read it.** Six tracked: Blue Owl/OBDC II; Blackstone/BRED (Q3 redemption overhang; Q2 closed at the 5% cap vs ~10% of NAV requested); BlackRock/HLEND/HPS (restricted post-gate; \$1.2B Q1 requests, 9.3% of NAV); Morgan Stanley/North Haven; Cliffwater; New Mountain. **Unpriced:** SEC 2026 exam cycle forcing marks, the 2026 BDC maturity wall, NAV-lending stress. **[CORRECTIVE LOOP] W28 called the F&G Junk Bond Demand reading "the cleanest standing divergence on the board" — that is retired.** HY OAS −270bp and HYG flat (\$79.71) through both a ceasefire collapse and a hawkish Fed. The gauge says caution; the spread says nothing is happening. **We weight the spread — making credit the strongest argument AGAINST the bearish case. Trigger:** HY +40–60bp = Tail. **Falsifiable this week:** five money-centres Tue 14, BlackRock Wed 15 — **read the provisions, not the EPS**.
- **The XLE underweight survives only because its rationale was replaced — and the replacement is weaker.** W28 justified it on "the tail is largely removed." The ceasefire collapsed, so **that reason is dead** — positions held past the death of their thesis are how portfolios accumulate silent risk. **[CORRECTIVE LOOP — retired, not carried.]** It now rests on: structural damage (Energy 50D 33% / 100D 29%; the 76% 5D is a days-old reflex on that hole), and the +6.29% being a *shipping-risk premium, not a supply repricing* (infrastructure untouched; Brent gave back −\$2 from \$78.19 *while strikes continued*). **The unpriced part is the asymmetry of being wrong:** Energy's 200D is 90%, the best on the board — in a real supply shock this is the wrong side of the only sector that works, and the usual offset has stopped working (gold −1.31% in a war week). **Reversal trigger, non-discretionary:** infrastructure strike, Hormuz closure, or Brent > \$100 → close on the print.
- **Gold has topped functioning as the hedge the book is relying on — and it took a war restart to prove it:** gold fell −1.31% and silver −4.03% in a week containing a collapsed ceasefire and disrupted Hormuz shipping, with the dollar flat (+0.05%). The only explanation is the rate leg: 9-of-18 hike dots and a 30Y through 5% raise the opportunity cost of a non-yielding asset enough to overwhelm the geopolitical bid outright (corroborated: BoF cut its 2026 gold forecast 14% to \$4,360/oz on 8 Jul, citing a more hawkish Fed). **The unpriced second-order risk: in a rates-driven tail, the GLD/SLV core does not offset the equity book — it correlates with it.** The structural debasement thesis is intact (gold 1Y +24.37%); the near-term hedging function is not. Any tail-scenario plan that assumes gold pays is currently mispriced. **Timing: live now, through the CPI/Warsh sequence.**
- **The AI concentration is both the market's support and its single point of failure.** Electronic Technology (+59.05% YTD) is the only sector strong at every horizon and is mechanically responsible for the NDX's +1.69%, the daily repair, and the "nothing has broken" claim. **Positioning shows the crowd piled in during the very week it led** — asset managers +11,660 and leveraged funds +13,604 net NDX length (Sec 3.4): everyone on the same side of the one trade holding the index up. Underneath: NASDAQ Composite 5D participation 49%, the Dow's 50%, small-caps on a second red week, breadth negative board-wide. **There is no second leadership group.** The SOX fell −6.7% in one session on 1 Jul, so a de-rate is not hypothetical. The market is not under-pricing an AI de-rate — it is under-pricing *what happens to the index if one occurs with nothing else participating*. **Transmission:** NDX loses 29,598–29,700 → the repair fails → no breadth to catch it.
- **Fed-path convexity with a Chair nobody has read yet:** the hawkish June dots plus dropped forward guidance already made every print high-leverage. W29 adds a variable no model here captures — **Kevin Warsh, sworn in 22 May, testifies to Congress for the first time on Tuesday, in the same session as CPI, with a committee split 9–8–1 behind him.** There is no track record to calibrate his language against, no prior testimony to compare tone with, and two live crises (an energy shock and an AI boom) he will be asked about directly. With the 10Y already through 4.50% and the 30Y through 5%, the front end has no cushion to absorb a surprise in either direction. **The market is pricing Tuesday as three separate events; it is one, and they compound.**

9.5 IV OPPORTUNITY — The Vol Surface Is Screaming and the Vol LEVEL Is Asleep: \$VIX IV Rank Jumped From the 10th to the 96th PERCENTILE While Spot VIX FELL TO 15.03 — But \$SPX Got CHEAPER Still (23rd pct) and \$DJX Sits at 0.00% for a SEVENTH Week. Buy the Index Hedges, NOT the VIX Calls.

- **The board** (Barchart, 10 Jul): \$SPX IVR **13.15% (23rd pct)**, P/C 1.12 · \$XSP 18.70% (26th) · \$DJX **0.00% (0th — 7th straight week)**, P/C 0.10 · \$IUIXX 65.08% (75th) · \$XND 74.04% (78th) · **\$VIX 20.89% (96th pct)**, 69.5% calls.
- **The dislocation is the whole trade — and futures positioning confirms it from a second, unrelated instrument.** W28 read \$VIX at the 10th percentile as "the cheapest convexity on the board." One week later it is the **96th** — vol-of-vol repriced violently UP even as spot VIX fell 6.93% to 15.03. Meanwhile **leveraged funds flipped NET LONG VIX futures** (+5,112, adding +7,129) while asset managers kept selling vol (13th percentile) — Sec 3.4. And the index-level hedges have not repriced at all; \$SPX got *cheaper* (30th → 23rd pct) and \$DJX is still pinned at zero. **The same protection is being offered at two wildly different prices depending on the instrument.**
- **BUY: \$SPX puts / put-spreads into Tue 14 Jul (IVR 23rd pct) — the primary hedge.** Three uncorrelated market-moving events inside four hours, into a tape with VIX at 15.03, F&G Neutral, breadth at −79 and a four-of-four weekly rollover. Index vol in the bottom quartile is not pricing that event load — it is pricing a quiet week. **The cleanest asymmetry in the report.**
- **BUY: \$DJX put-spreads (IV Rank 0.00%, 7th straight week) — the cheapest convexity, and now the best-targeted.** The Dow made a record ATH (53,289.30), gave it back in two sessions, saw 5D participation collapse 83% → 50%, and rolled its daily MACD negative — and its options still carry an IV Rank of literally zero, 90.9% calls. The market is pricing the Dow as if nothing happened to it. Something did.
- **DO NOT: buy \$VIX calls (96th pct). Sell NDX vol defined-risk ONLY (75th pct). No naked premium anywhere. The W28 trade is dead** — VIX convexity that was cheap at the 10th percentile is expensive at the 96th; express the same view through \$SPX/\$DJX instead. \$IUIXX at the 75th is the only genuinely rich index premium (down from W28's 89th as the chip de-rate reversed) — iron condors or put-spread sales against the 29,598–29,700 band, **defined-risk only. No naked premium selling through Tuesday** (three two-sided distributions in one morning), and no net-short vol into an open-ended Hormuz risk that respects no calendar.

9.6 WEEK 29 RULE
"The Index went up and everything underneath it went down. Hold what you own, own convexity into Tuesday, and refuse to pay up for the last four names carrying the tape."

- **Bull path:** a soft June CPI (soft core, not just a soft headline) + a measured Warsh debut + clean bank provisions clear all three of Tuesday's events. The 10Y falls back below 4.50%, the hike tilt compresses from +10.4bp, and — **the part that matters — the 5-day H/L line turns positive from −79 and the Dow's 5D participation recovers from 50%.** The weekly Stoch K recrosses above D and the NDX weekly histogram recrosses positive from −15.89. → **SPX 7,620–7,700.** Redeploy on the *breadth repair*, not the CPI headline.
- **Bear path:** a hot core CPI (what Barclays actually forecasts) and/or a hawkish Warsh debut into 9-of-18 hike dots. The 10Y presses 4.75%, the 30Y extends above 5.10%. SPX loses the 7,461–7,486 cluster; NDX loses its 0.34%-thick 29,598–29,700 band and the repair fails on the spot; IWM breaks 290.51/288.62 and, at ADX 9.96, extends with nothing to resist it. → **SPX 7,300–7,461.** Cut the index that breaks, on the break; IWM first.
- **The mispricing: the vol surface has already figured out what the vol level has not.** \$VIX IV Rank went 10th → **96th percentile** and leveraged funds flipped net long VIX futures — while spot VIX FELL to 15.03, F&G rose to Neutral, **\$SPX index vol got CHEAPER (23rd pct)** and **\$DJX sat at 0.00% for a seventh week.** The market is bidding vol-of-vol to the 96th percentile while selling you the actual index hedge in the bottom quartile — into June CPI, a new Fed Chair's first testimony and five money-centre banks, all before noon Tuesday, with breadth at −79, the weekly oscillator rolled on all four, oil re-armed and the 30Y above 5%. **Buy the hedge the market forgot to reprice (\$SPX, \$DJX). Do not buy the one it already did (\$VIX). And do not confuse an index at its highs with a market that is still working.**